

## Initiation of Coverage

# Extreme Networks Inc

**Share gains supports double digit rev growth as margins have room to expand; Initiate with a Buy**

### Share gains and GM expansion drives at least a 25% EPS CAGR the next 3 yrs

We initiate on Extreme shares with a Buy rating as the company's strategic pivot to unify products/software and ability to offer backward compatibility with Cisco gear supports share gains driving at least 10% revenue growth the next 3 years, 400-500 bps faster than the industry. Moreover, our forecast is ~150 bps faster than what is embedded in the current share price in our view. In addition, the mix to more Software and moderating supply chain costs should drive gross margins almost 400 bps higher over the same period supporting a ~25% 3-year EPS CAGR. With the shares trading at just ~14x CY24, one turn below the trailing 3-year NTM average and limited risk to backlog going forward following the recent revision lower, the recent Kroger announcement to deploy Wi-Fi 6E access points creates a favorable 2 to 1 upside to downside skew over the next 12 months in our view.

### Backlog, share gains and Software should drive 14% growth in FY24

Supply chain disruptions over the past several years drove Extreme's Product backlog from roughly \$100M in June-21 to ~\$513M in June-22. The subsequent backlog conversion into revenue as supply chain eased was a key driver of 22% Product growth in FY23. In FY24, we forecast an incremental ~\$200M of backlog conversion into revenue along with bookings of ~\$872M to support 15% Product growth in FY24. In addition, Software subscriptions should continue to grow ~30% in FY24 contributing ~2.5% to top-line growth.

### Gross margin expansion driven by mix and lower supply chain costs

Lower supply chain and component costs along and a mix to Subscriptions (~30% CAGR the next two yrs) should drive 310 bps gross margin expansion to 62.0% in FY25 from 58.9% in FY23. While Extreme is targeting long-term GMs of 65% driven by a 4 point improvement in Product GMs to roughly 59% and 2 points from a mix to more Services and Software subscriptions, we forecast Product GMs of 59.4% in FY25, up from 55.5% in FY23, our FY25 gross margin forecast of 62% could prove conservative.

### Valuation: Our \$30 price target is ~16x our FY25 EPS estimate of \$1.82

Extreme shares trade at ~15x NTM P/E, in-line with the trailing 3-yr avg. Our \$30 PT is ~16x our FY25 EPS est of \$1.82, a one turn premium relative to the long-term avg driven by a stronger growth and margin outlook relative to history balanced by Networking industry growth that should normalize. As the industry grows mid-single digits, we expect Extreme to grow at a 10% CAGR over the next 3 yrs warranting a premium.

| Highlights (US\$m)        | 06/21 | 06/22 | 06/23 | 06/24E | 06/25E | 06/26E | 06/27E  | 06/28E  |
|---------------------------|-------|-------|-------|--------|--------|--------|---------|---------|
| Revenues                  | 1,009 | 1,112 | 1,312 | 1,501  | 1,641  | 1,771  | 1,886   | 1,986   |
| EBIT (UBS)                | 110   | 136   | 199   | 262    | 302    | 340    | 367     | 390     |
| Net earnings (UBS)        | 72    | 103   | 146   | 202    | 242    | 282    | 313     | 343     |
| EPS (UBS, diluted) (US\$) | 0.57  | 0.77  | 1.09  | 1.52   | 1.82   | 2.12   | 2.36    | 2.58    |
| DPS (net) (US\$)          | 0.00  | 0.00  | 0.00  | 0.00   | 0.00   | 0.00   | 0.00    | 0.00    |
| Net (debt) / cash         | (93)  | (109) | 13    | 298    | 605    | 934    | 1,283   | 1,648   |
| Profitability/valuation   | 06/21 | 06/22 | 06/23 | 06/24E | 06/25E | 06/26E | 06/27E  | 06/28E  |
| EBIT (UBS) margin %       | 10.9  | 12.2  | 15.2  | 17.5   | 18.4   | 19.2   | 19.5    | 19.7    |
| ROIC (EBIT) %             | 59.6  | 78.5  | 131.1 | 400.3  | <-500  | <-500  | (319.9) | (248.5) |
| EV/EBITDA (UBS core) x    | 6.0   | 8.9   | 9.7   | 9.9    | 8.3    | 6.5    | 5.2     | 4.0     |
| P/E (UBS, diluted) x      | 12.8  | 14.6  | 15.6  | 15.9   | 13.3   | 11.4   | 10.3    | 9.4     |
| Equity FCF (UBS) yield %  | 14.2  | 7.7   | 10.6  | 9.2    | 9.9    | 10.6   | 11.2    | 11.7    |
| Dividend yield (net) %    | 0.0   | 0.0   | 0.0   | 0.0    | 0.0    | 0.0    | 0.0     | 0.0     |

Source: Company accounts, Thomson Reuters, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of US\$ 24.24 on 20-Sep-2023

## Equities

Americas

Communications Technology

**12-month rating** **Buy**  
Prior : No Rating

**12m price target** **US\$30.00**  
Prior :

**Price (20 Sep 2023)** **US\$24.24**
**RIC:** EXTR.O **BBG:** EXTR US

### Trading data and key metrics

|                             |                 |
|-----------------------------|-----------------|
| 52-wk range                 | US\$32.27-12.26 |
| Market cap.                 | US\$3.11b       |
| Shares o/s                  | 128m (COM)      |
| Free float                  | 98%             |
| Avg. daily volume ('000)    | 2,216           |
| Avg. daily value (m)        | US\$59.4        |
| Common s/h equity (06/24E)  | 0.33b           |
| P/BV (06/24E)               | 9.6x            |
| Net debt to EBITDA (06/24E) | NM              |

### EPS (UBS, diluted) (US\$)

|        | 06/24E |      |      |       |
|--------|--------|------|------|-------|
|        | From   | To   | % ch | Cons. |
| Q1E    | -      | 0.34 | -    | 0.31  |
| Q2E    | -      | 0.37 | -    | 0.37  |
| Q3E    | -      | 0.39 | -    | 0.40  |
| Q4E    | -      | 0.42 | -    | 0.47  |
| 06/24E | -      | 1.52 | -    | 1.56  |
| 06/25E | -      | 1.82 | -    | 1.99  |
| 06/26E | -      | 2.12 | -    | 2.45  |

**David Vogt**

Analyst

david.vogt@ubs.com

+1-212-713 4296

**Andrew Spinola**

Analyst

andrew.spinola@ubs.com

+1-212-713 3766

**Brian Luke**

Associate Analyst

brian.luke@ubs.com

+1-212-713 3819

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**UBS Research THESIS MAP** a guide to our thinking and what's where in this report**PIVOTAL QUESTIONS****Q: Can Extreme's "Universal Portfolio Strategy" drive incremental market share and drive double-digit revenue growth beyond FY2025?**

Yes, we think so. While Extreme's strategy of unifying its vast product portfolio and making its operating systems (OS) compatible between hardware has attracted a recent big win in Kroger, the company is likely to gain incremental market share based on our checks. While modest share gains can provide an uplift to Extreme Product revenues, ultimately the mix to Subscription revenue adding a couple of points of growth should drive at least a 10% revenue CAGR the next three years.

**Q: Can Non-GAAP gross margins expand 600 bps to 65% driving ~20% operating margins?**

We don't think so but don't think that is necessary for the stock to appreciate over the next 12 months. We believe that Extreme will not be able to reach gross margins similar to those of larger players like Cisco (64.6% in FY22) due to its smaller size and scale. However, we note that while the improving supply chain and larger mix of subscription revenue going forward should be tailwinds for Extreme, the company is likely to realize ~300 bps of operating margin expansion from these drivers alone through FY25 to 18.2% from 15.2% in FY23.

**UBS VIEW**

We initiate on Extreme shares with a Buy rating. Extreme is likely to grow revenue at least a 10% CAGR over the next three years as order rates across campus and enterprise data center spending normalize and Extreme picks up share. We forecast low to mid-single digit growth rates across the segments of the Networking industry that Extreme competes. Finally, adjacent TAMs like SD-WAN that support Extreme's revenue outlook, although smaller are growing faster than legacy markets providing an incremental tailwind for Extreme as well.

**EVIDENCE**

Partner checks and industry data indicate that Extreme is taking share in the Campus market, its largest TAM even as early orders and elevated backlog should result in the Campus switch market normalizing in calendar 2024. Share gains in Product and 30% growth in Software Subscriptions support 14% revenue growth in FY24, down modestly from the 18% growth in FY23 as the industry normalizes.

**WHAT'S PRICED IN?**

Extreme is trading at ~15x consensus NTM EPS vs the 3 year average of ~15x. We believe investor expectations reflect the view that the above trend double digit revenue growth is not sustainable while gross margins are unlikely to expand to the mid 60s% in a couple of years. However, we expect a double digit revenue CAGR over the next three years as industry order rates normalize back to low to mid-single digit growth.

**UPSIDE/DOWNSIDE SPECTRUM**

| Value drivers FY25E | Revenue growth | Gross Margin | Operating Income growth | Operating Margin | Diluted EPS) |
|---------------------|----------------|--------------|-------------------------|------------------|--------------|
| \$36upside          | 15.0%          | 62.8%        | 31.8%                   | 20.0%            | \$2.09       |
| \$30base            | 9.3%           | 62.0%        | 15.0%                   | 18.4%            | \$1.82       |
| \$18downside        | -1.6%          | 60.1%        | -10.5%                  | 15.9%            | \$1.41       |

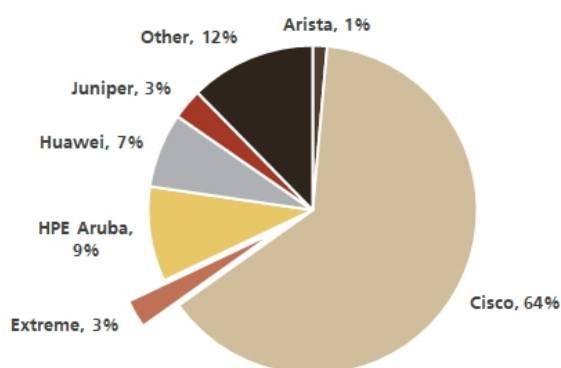
Source: UBS

**COMPANY DESCRIPTION**

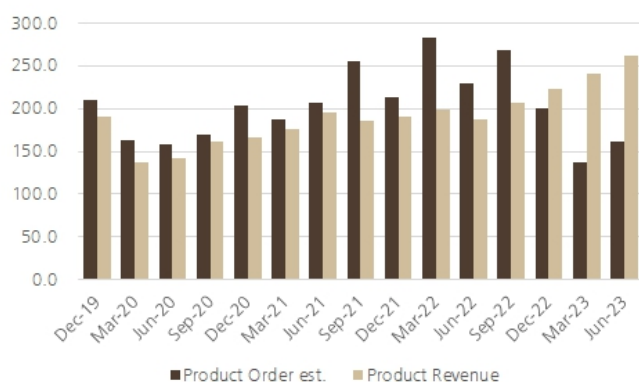
Extreme is a leading provider of end-to-end, cloud-driven networking solutions, as well as services and support to enterprise, data center, and service provider customers. The company designs, develops, and manufactures wired and wireless network infrastructure equipment, as well as software for network policy, analytics, security, and access controls. The company's revenue is derived from the sales of its networking equipment, software subscriptions, and related maintenance contracts. Extreme operates globally and is headquartered in Morrisville, NC.

## OUR THESIS IN PICTURES

Campus Market Share ex China (2022)

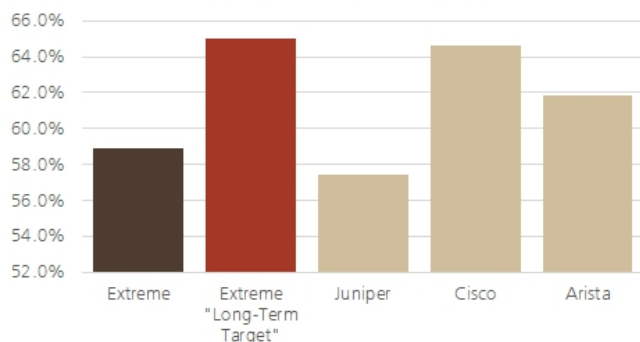


Despite strong growth the past three years, Extreme has only a small share of the campus market.



Backlog should support revenue over the next 4-5 quarters but raises risk of a sharp slowdown.

FY23 Non-GAAP Gross Margin %



Extreme's long-term 65% gross margin target is unlikely in the near-term.



Extremes stock trades at ~15x NTM EPS of \$1.55, roughly in-line with the trailing 3-year average.

Sources for exhibits above: Company data, UBS Research

## PIVOTAL QUESTIONS

**Q: Can Extreme's "Universal Portfolio Strategy" drive incremental market share and drive double-digit revenue growth beyond FY2025?**

## UBS VIEW

Yes, we think so. While Extreme's strategy of unifying its vast product portfolio and making its operating systems (OS) compatible between hardware has attracted a recent big win in Kroger, the company is likely to gain incremental market share based on our checks. While modest share gains can provide an uplift to Extreme Product revenues, ultimately the mix to Subscription revenue adding a couple of points of growth should drive at least a 10% revenue CAGR the next three years.

## EVIDENCE

Extreme's Products largely target the Campus Switch market accounting for roughly 60% of Product revenue. While Extreme's Product revenue has grown at a 12% CAGR the past three years, we estimate that Extreme's Campus business increased at a 9.6% CAGR the prior 3 years (quarter ended March-23). Partner checks and industry data indicate that Extreme is taking share in the Campus market, its largest TAM. Share gains in Product and recent 30% growth in Software Subscriptions that should be sustainable as attach rates move higher support 14% revenue growth in FY24. In addition, orders / book-to-bill checks across the broader industry suggest demand should improve sequentially to drive book-to-bill above 1x late in CY24 following near-term revenue support from residual backlog.

## WHAT'S PRICED IN?

Extreme's stock is trading at approximately ~15x NTM EPS compared to 15x on average over the trailing three years while peer Juniper has traded slightly below 15x on average over the past three years, a 20% discount to the S&P 500. Cisco, the industry leader trades at ~14x NTM P/E but as noted earlier is a typical share donor in many markets. While Extreme should gain modest market share over the long-term justifying a premium to peers, we think investors are too cautious on Extreme's long-term revenue growth. As such trading in-line relative to history and a 1x modest premium to large cap peer Cisco offers a favorable risk/reward for the shares. Therefore, we rate Extreme shares Buy due to Extreme's ability to take market share and grow revenue and EPS 10% and 25% respectively over the next three years.

**Extreme's "Universal Portfolio" creates differentiation**

Extreme first announced its universal platform for its switching and wireless portfolios in Sept-20 with an aim to simplify customers' ordering, licensing, and warranty processes. Over time, Extreme's strategy has evolved with a goal to "cloudify" its portfolio and then unify it under its Universal Portfolio Strategy. At a high level, the strategy entails bringing all products developed internally and acquired through acquisitions together into one universal platform in order to provide flexibility anywhere in the network, the ability to run all of Extreme's internal OS's, and cloud management to its customers. Having common hardware that can be migrated across Extreme's various OS's fits under the company's vision of "one cloud, one network, one Extreme". According to the company, Extreme expects 90% of its portfolio to be upgraded to the Universal Platform by the end of CY23.

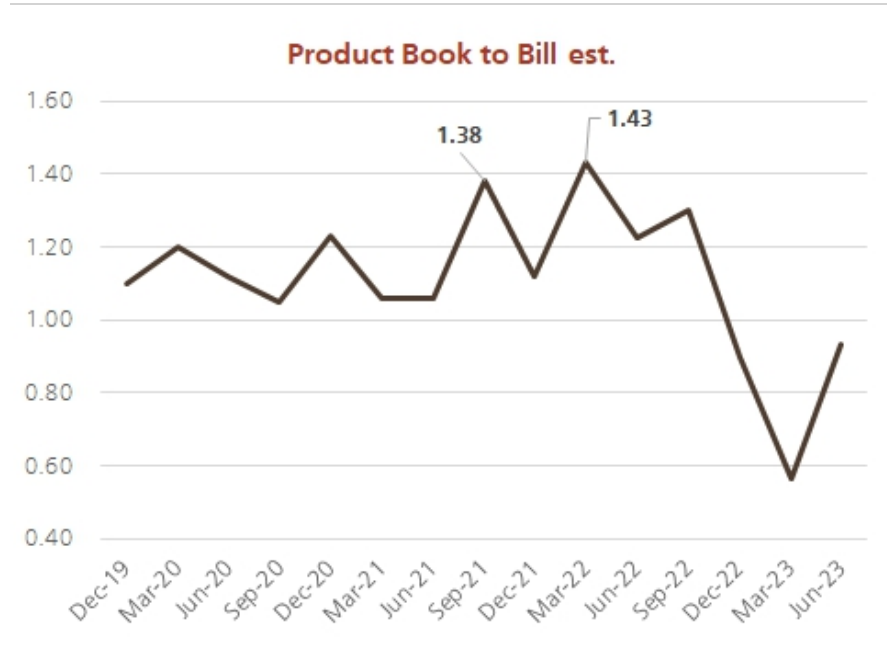
**"Universal" strategy underpins an increase to the long-term growth rate**

Extreme believes that the complete integration of its portfolio to the Universal Platform will help drive its outlined long-term target operating model, last updated by management in May-23. According to the company, the strategy should drive a three year (FY23-FY25) revenue growth CAGR of 13%-17%, up from 3%-5% organic growth expected in 2019 and before the announcement of the strategy. However, revenue growth in the long-term model is heavily skewed by strong / early order growth during the Covid pandemic and supply chain disruptions to FY23 and FY24. In fiscal 2023, Extreme total revenue grew 18% led by over 22% Product growth. While the Networking industry has experienced solid demand the past several years as customers

placed an emphasis on "connectivity", supply chain disruptions have distorted revenue growth. For example, we estimate Extreme entered fiscal 2023 with slightly over \$500M in Product backlog, roughly 5x normal as customer placed orders earlier than expected. Order strength drove Extreme's book to bill to ~1.3x in FY22 vs ~1.1x in FY21 reflecting the early orders and supply chain constraints.

Early orders drove book-to-bill to an unsustainable 1.4x at certain points over the past several quarters distorting revenue growth in FY23 and FY24.

**Figure 1: Early orders drove book to bill above 'normal' levels resulting in above trend growth**



Source: Company data and UBS estimates

#### Upper bound of "Subscription" 35%-45% growth target could be a stretch

Subscription revenue, or slightly less than 10% of total revenue by our estimates, is expected to grow 35%-45% contributing roughly 3-4 pts of revenue growth in FY24 driven by Cloud Management offerings across both Wired and Wireless offerings, along with renewal and additional subscription licenses. In addition, Extreme is also targeting SD-WAN to be a key driver, weighted to FY24 and FY25 following the acquisition of Ipanema in FY21 for roughly \$73M with estimated \$25M in LTM revenue at the time. However, we note the industry is only expected to grow in the low 20s% in CY24 before slowing to low double digits in CY25. Given the SD-WAN market is highly competitive with several large players like Cisco (~20% share), HPE Aruba via its SilverPeak acquisition (~9% share), and Fortinet (~17% share) capturing almost 50% of the market today and a slew of smaller private companies like Versa with 8% share, we believe traction in SD-WAN could prove challenging despite the acquisition of Ipanema.

As such, we believe the low end of the outlook is more likely, shaving a point off Subscription growth in FY24 and FY25 relative to the upper end of the guide.

**Figure 2: Extreme has increased the long-term revenue and margin target materially since 2018**

|              | Nov-18<br>Long-Term Target | Feb-19<br>Long-Term Target | Feb-21<br>Long-Term Target | May-22<br>Long-Term Target |
|--------------|----------------------------|----------------------------|----------------------------|----------------------------|
| Revenue      | 3%-5% Organic Growth       | 3%-5% Organic Growth       | 5% - 9%                    | 13%-17%                    |
| Product      |                            |                            | 4%-6%                      | 13%-15%                    |
| Services     |                            |                            | 3%-5%                      | 5%-7%                      |
| Subscription |                            |                            | 25%-35%                    | 35%-45%                    |

Source: Company data

#### TAM expansion and growth expectations are a tad aggressive in our view

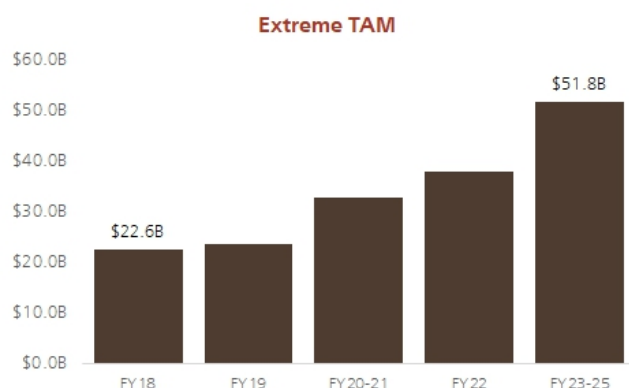
Over the past several years, Extreme has increased the estimated addressable market for its solutions from ~\$21B in FY19 to over \$40B in FY23.

- Specifically, in its fiscal 2019 10-K, Extreme estimated the "addressable" TAM for its WLAN, Data Center networking, Ethernet switching and campus LAN products was ~\$21B out of total \$33B market. In addition, Extreme expected the "addressable" TAM to grow at ~5% over the subsequent three years.
- In the fiscal 2020 10-K, Extreme added Cloud Networking and SD-WAN to its "addressable" TAM but lowered the opportunity to \$20B (out of \$27B) growing at 5%, likely as a result of the Covid disruption.
- In the fiscal 2021 10-K, Extreme sharply lowered the legacy "addressable" TAM to \$15B (out of \$26B) but added 5G as a potential opportunity highlighting the markets adds ~\$3B to the total \$26B TAM but also noted that the company was targeting a small subset (\$50-\$100M) of this market over three to five years.

While the prior TAM disclosures are generally consistent with our industry/market expectations, the TAM expansion highlighted at the 2022 Investor Day is slightly aggressive in our view. First, Extreme raised the total TAM in FY22 to ~\$38B. Furthermore, in the company's 10-K, Extreme framed the legacy TAM at \$33B, up from \$26B previously disclosed, comprised of \$22 billion for campus networking (UBSe \$19-\$20B market), \$4.6 billion for 5G services, and \$2.2 billion for SD-WAN (UBSe \$2.1B), or almost \$29 billion. The company disclosed the remaining \$4B disclosed TAM relates to broadly defined networking software including cloud-based network management.

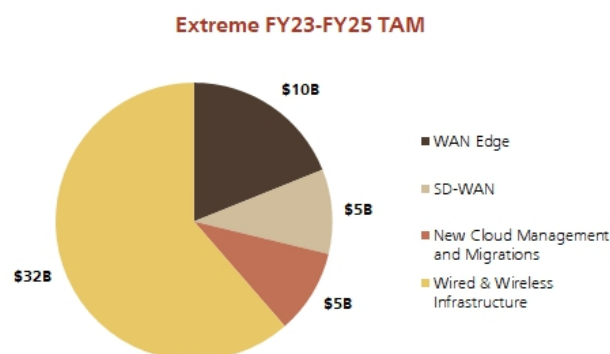
In the fiscal 2023 10-K, Extreme raised the estimate of its TAM to over \$40B growing at a 12% CAGR over the next five years, up from its prior forecast of a 12% CAGR over the next three years, more than double prior expectations of ~5% growth and an aggressive assumption in our view. First, based on industry data and our checks, we forecast the campus market is to be flattish over the next three years. Even if Extreme can pick up modest share, if 2/3 of Extreme's TAM is flattish the next three years (and potentially down in CY24), the long term Product guide of 13%-15% is at risk beyond FY24 that will likely exhaust most of the elevated backlog.

**Figure 3: Extreme TAM estimates (\$ billions)**



Source: Company reports

**Figure 4: Extreme FY23-FY25 TAM**



Source: Company reports

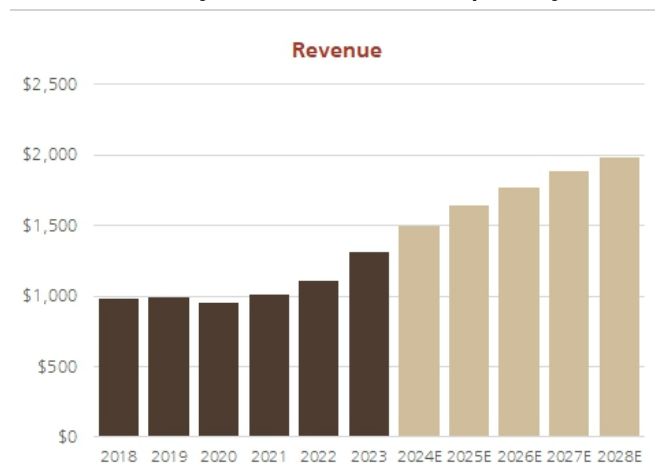
### Our revenue forecast is below consensus in FY25 and beyond

In the near-term, elevated Product backlog of ~\$267 million at the end of FY23 supports mid-teens revenue growth in FY24. We forecast FY24 Product orders of \$872 million or a book-to-bill of 0.8x. Inclusive of roughly ~\$200 million backlog drawdown during the fiscal year, we forecast 15% Product revenue growth, at the mid-point of the 13%-17% three year guidance range driving 14.4% total revenue growth in FY24, modestly below Consensus at 15.1%.

In FY25, given our forecast that backlog should return to normal by the end of FY24, we forecast FY25 Product revenue growth of 7.5%, down from 15% in FY24 and below Consensus at 14% driven by modest share gains but reflects market growth below the 12% underpinning Extreme's long-term outlook.

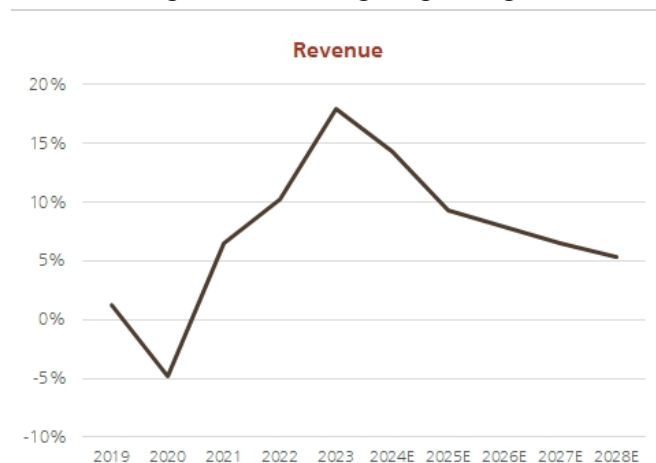


**Figure 5: Extreme revenue should grow at a ~10%-11% CAGR the next 3 years vs a 6% CAGR the prior 5 years...**



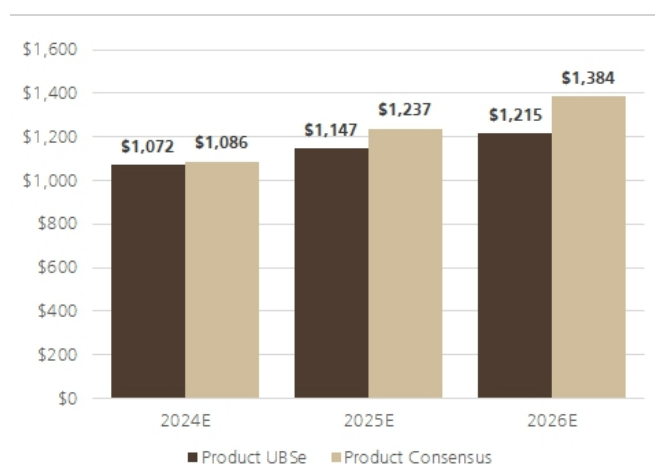
Source: Company reports and UBS estimates

**Figure 6: ...but growth should come in at just ~9% in FY25 before slowing back to mid-single digits longer-term**



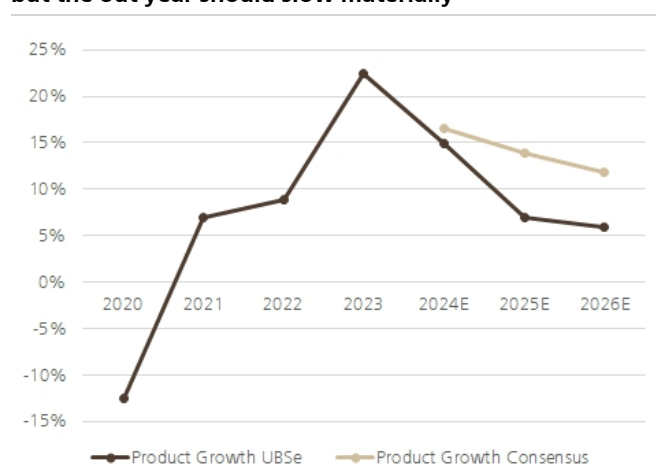
Source: Company reports and UBS estimates

**Figure 7: We forecast "Product revenue" 7% and 12% below Consensus in FY25 and FY26 respectively**



Source: UBS estimates and Visible Alpha

**Figure 8: Backlog drove "Product" revenue above 20% growth in FY23 and supports mid-teens growth in FY24 but the out year should slow materially**

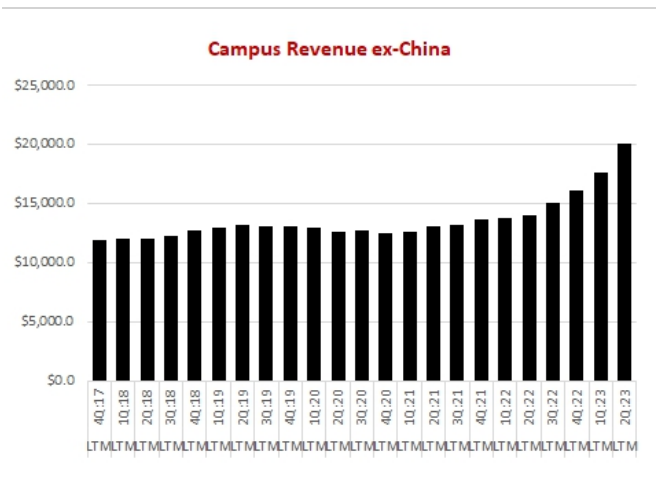


Source: Company data, UBS estimates, and Visible Alpha

### Campus Switch market still dominated by Cisco

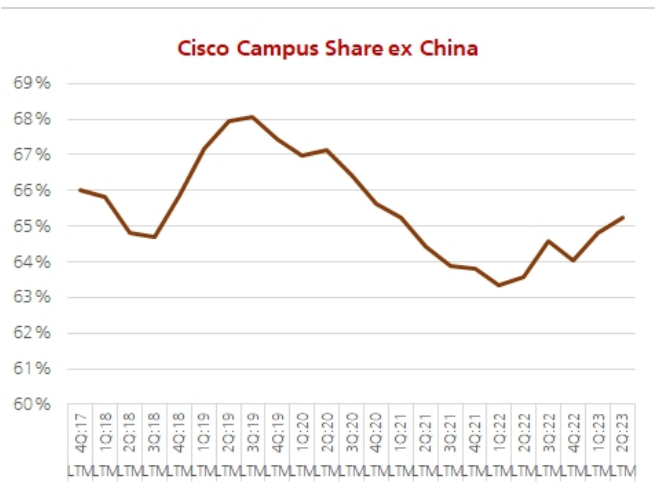
Over the past several decades, Cisco has dominated the Campus Switch market via organic investment and targeted acquisitions essentially refreshing its portfolio in 2019 with the new Catalyst 9600 portfolio. Excluding China, Cisco's share of the Campus market was roughly 64% in calendar 2022, down just 200 bps from 66% in 2018 and 68% in 2013. While Extreme, like many other vendors, has nipped at Cisco's heels for some time, share gains have been somewhat challenging during Covid. According to Dell 'Oro, Extreme's share of the Campus market (ex China) in calendar 2022 was roughly 3%, flat with 2018 despite a revamped strategy focused on a "Universal Platform".

**Figure 9: Since mid CY18, LTM Campus revenue (ex-China) has increased from ~\$12B to \$20B, a ~11% CAGR**



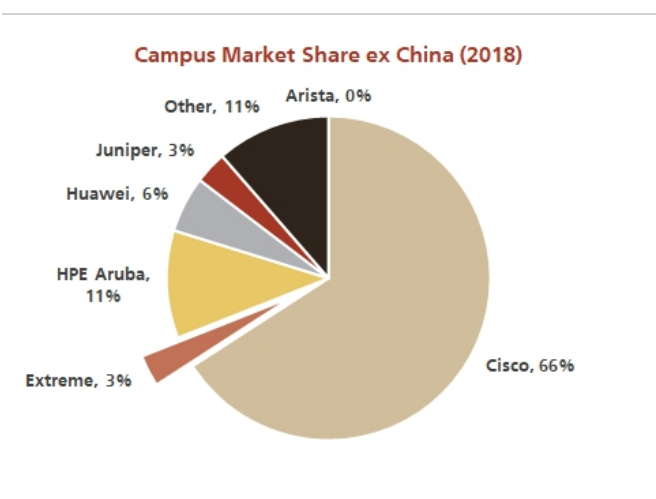
Source: Dell'Oro

**Figure 10: Cisco has largely been a share donor in the Campus market (LTM market share ex China)**



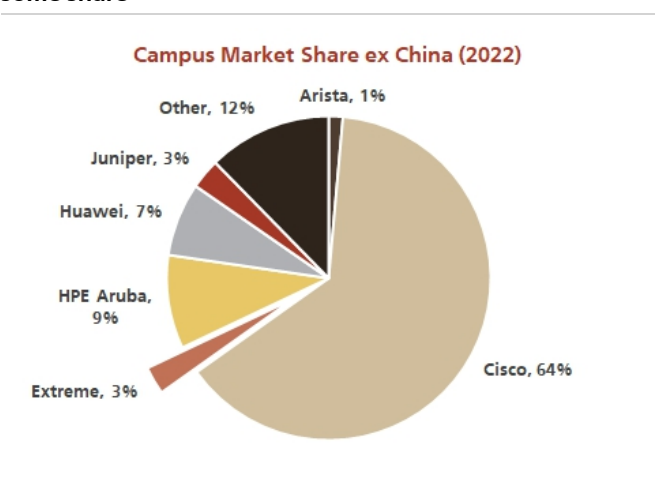
Source: Dell'Oro

**Figure 11: Extreme's share of the Campus Switch market excluding China was ~3% in CY18...**



Source: Dell'Oro

**Figure 12: ...and was unchanged in CY22 despite incremental share loss at Cisco as new entrant Arista took some share**



Source: Dell'Oro

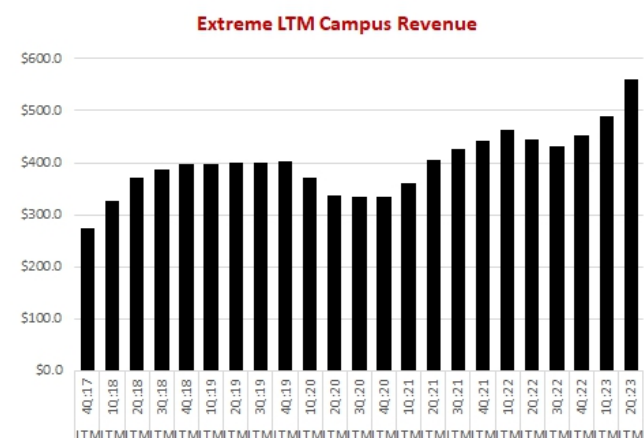
### Majority of Extreme's revenue generated in the Campus market despite diversification efforts

Although Extreme's revenue is not completely derived from the Campus market, we estimate it has increasingly made up a larger portion of Extreme's Product revenue mix since CY18. In fact, in Extreme's fiscal 2022 10-K, the company identified the campus market as \$22B of the \$33B TAM for Enterprise Networking solutions.

Over the past several years, we estimate Campus revenue has been over 50% of Extreme's Product revenue. Following a mid-teens revenue decline in Campus revenue in calendar 2020 driven by Covid and supply-chain disruptions, backlog drawdown over the past two calendar years has driven Campus to at least 60% of Product revenue despite a focus on diversification including SD-WAN and 5G. As such, we expect Campus market dynamics to be a key driver of Product revenue going forward.

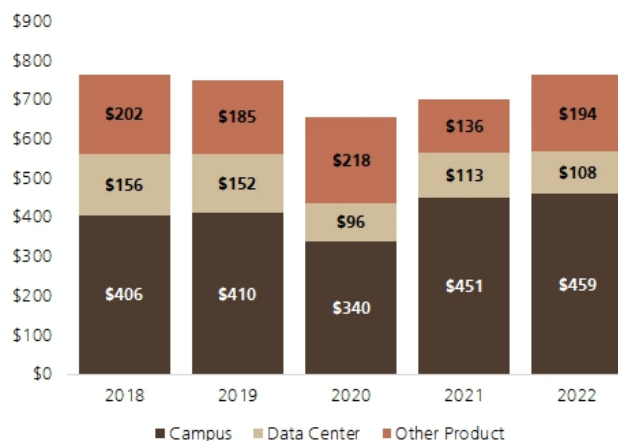


**Figure 13: Extreme's LTM Campus revenue has increased at a ~9% CAGR the past five years during Covid**



Source: Dell'Oro

**Figure 14: Figure 15: Extreme's Campus, Data Center and Other Product estimated revenue mix**

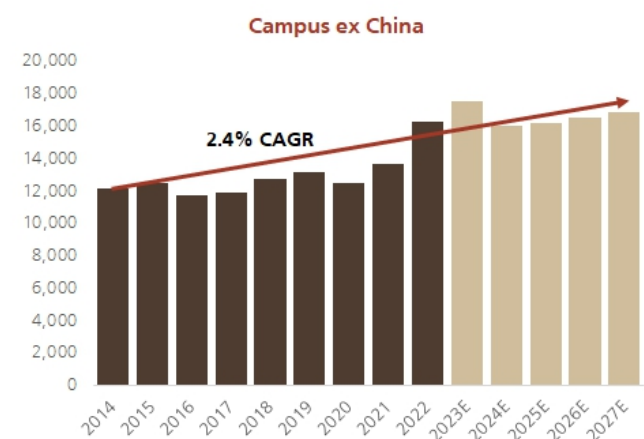


Source: Dell'Oro and UBS estimates

### Campus market is the wild card heading into CY24 but our forecast embeds industry normalization

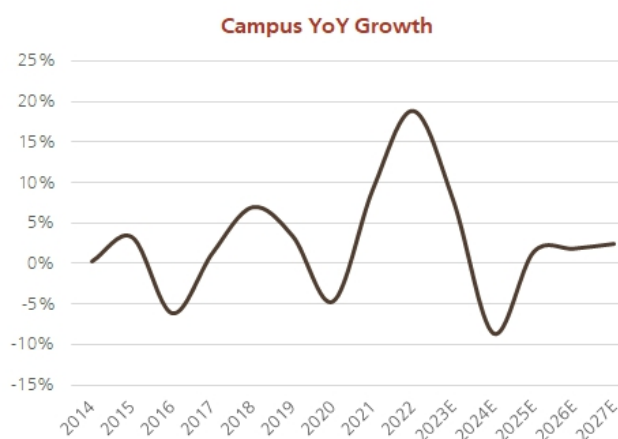
In the five years prior to Covid in calendar 2020, the global Campus market grew at a 3% CAGR. However, stripping out the 10% growth in China, the Campus market grew at just 2%. While Covid drove increased investment in network connectivity in late 2020 through the end of 2023, based on our checks and industry forecasts, the Campus market could decline in calendar 2024 acting as a growth headwind. That said, we model Extreme's Product book to bill below 1x in FY24 reflecting this potential headwind. Beyond 2024, we expect the Campus market to grow at a 2% CAGR.

**Figure 16: Campus, ex China, could decline 8-9% in CY24 before growing at a ~2.5% CAGR, in-line with the long-term trend**



Source: UBS and Del'Oro

**Figure 17: Campus growth during CY21-CY23 driven by prior order strength and backlog drawdown**

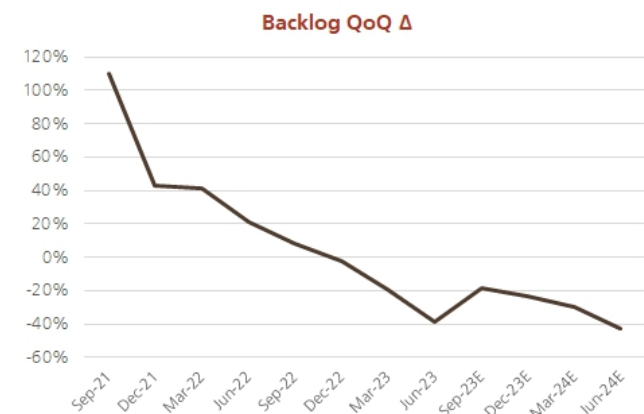


Source: UBS and Del'Oro

### Elevated Product backlog provides visibility in FY24

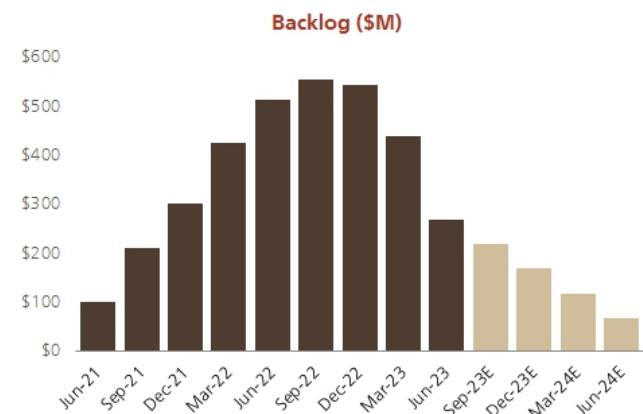
Extreme's backlog exiting FY23 stands at ~\$267M, down from ~\$438M at the end of F3Q as over \$150M of backlog at distributors were cancelled in F4Q. Management believes that its backlog will return to a "more normalized" range of \$75M-\$100M over the next several quarters, with request dates from customers spread "fairly evenly" through the end of its FY24. Going forward, management commentary regarding book-to-bill and customer orders should be monitored, as these metrics will provide color on Extreme's rate of backlog drawdown and underlying business demand.

**Figure 18: Extreme started to work through its backlog in Dec-22 (2Q:23)...**



Source: Company reports and UBS estimates

**Figure 19: ... but experienced distributor cancellations in June-23 leading to a sharp decline**



Source: Company reports and UBS estimates

### Product order growth likely to remain under pressure

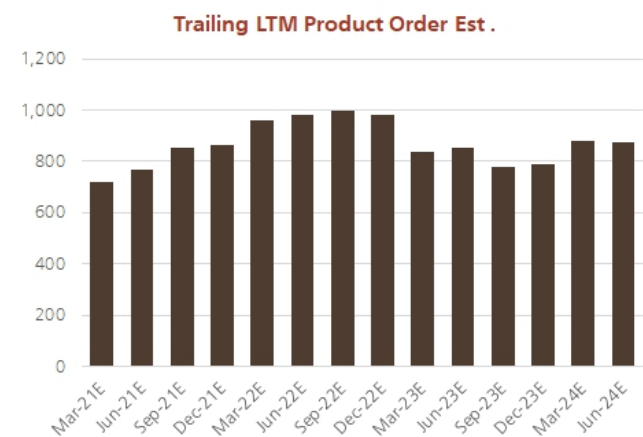
Although Extreme does not explicitly disclose Product orders, on an LTM basis, we estimate orders increased from roughly \$770M at the end of June-21 peaking at roughly \$1 billion in Sept-22 as Extreme gained modest share and customers placed orders early relative to historical patterns. Since peaking at roughly \$1 billion, we believe LTM orders have fallen to low \$800s million at the end of Jun-23. Given continued industry softness through the end of calendar 2023, we expect \$872M in orders in FY24, up from FY23 but below Product revenue of \$1,072M. While preliminary checks with Extreme partners and comments from peers indicate some weakness is expected in early 2024, comps are easy given the weakness in H1:23.

**Figure 20: Product orders should grow in FY24 off an easy comp**



Source: UBS estimates

**Figure 21: We estimate trailing LTM Product orders peaked at roughly \$1B in late 2022**



Source: UBS estimates

## PIVOTAL QUESTIONS

### **Q: Can Non-GAAP gross margins expand 600 bps to 65% driving ~20% operating margins?**

#### UBS VIEW

We don't think so but the market is not pricing in 65% gross margins. We believe that Extreme will not be able to reach gross margins similar to those of larger players like Cisco (64.5% in FY23) due to its smaller size and scale. However, we note the improving supply chain and larger mix of subscription revenue going forward should be tailwinds for Extreme. As such, the company is likely to realize at least 300 bps of margin expansion from these drivers alone through FY25 to 18.2% from 15.2% in FY23, given pricing is likely to be stable across the Networking landscape going forward following low double digit to high-teens price increases over the past several years. Given Extreme's current operating expenses as a % of revenue are in-line with the long-term target model at 43.7% (target 44%-47%), if gross margin falls short of the 64%-66% target, 20% operating margins are likely unachievable.

#### EVIDENCE

Extreme had gross margins of 58.9% in FY23, increasing about 50 bps over the last four years from 57.9% in FY18. Notably during FY18, Extreme management set out a long-term gross margin target of >60%, and essentially maintained this guide until FY21 (a gross margin guide of 60%-62% was set at Extreme's Investor Day 2019, its FY19). Then, after achieving a 60.8% gross margin in FY21, the company set a new long-term target of 63%-65%. However, despite its gross margins not reaching its FY21 levels since, management increased its long-term target to a range of 64%-66% in FY22. We believe that Extreme has set an aggressive long-term gross margin goal in-line with Cisco at a time when pricing will no longer be a source of upside while industry demand should normalize. Further, Extreme's R&D, S&M, and G&A as a percentage of revenue metrics are essentially at long-term targets already, limiting the incremental margin expansion from cost optimization below the gross margin line.

#### WHAT'S PRICED IN?

Consensus expects a significant improvement in gross margin over the next two years, well above peers Arista and Juniper but trailing Cisco. Specifically, consensus expects Extreme gross margin to expand ~370 basis points to 62.6% in FY25 from 58.9% in FY23, vs our 62.0% estimate and our Cisco est of 64.6% and Arista ~61.5%.

### **Cisco, Arista, or Juniper? What should Extreme's gross margin profile look like?**

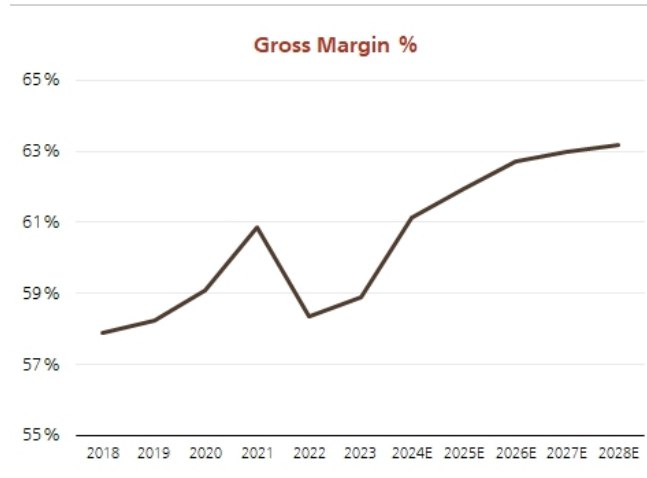
As a smaller player (as measured by revenue) in the networking space, Extreme's gross margin since FY2008 has averaged around 57% with FY21 gross margins of 60.8% the only year coming in above 60% before dipping to 58.4% and 58.9% in FY22 / FY23 respectively. Over the same period, industry leader Cisco gross margin averaged ~64%, Juniper averaged 63%, and Arista averaged ~61%.

However, customer/vertical mix as well as the mix between Product and Services over time also impact gross margin comparisons. For example, Juniper's long-term gross margins have trended lower from the mid 60s% to the high 50s% since the MX to PTX product transition along with the acquisition of Mist driving Enterprise revenue (lower GMs) from ~33% of total revenue in CY18 to over 40% estimated in CY23. At the same time, Juniper's Service Provider revenue (higher GMs) has declined from mid 40% of total revenue in CY18 to an estimated mid 30s% in CY23. In addition, Arista's recent low 60s% gross margin is skewed by above average hyperscaler revenue in the mix that depresses gross margins. Cisco's revenue scale and mix (total revenue ~\$57B with a \$4B higher gross margin Security business) compared to Extreme (~\$1.3B) should act as an upper bound.

Therefore, in the near-term, our analysis indicates Extreme's gross margins are more comparable to Juniper given both companies skew towards Enterprise customers and

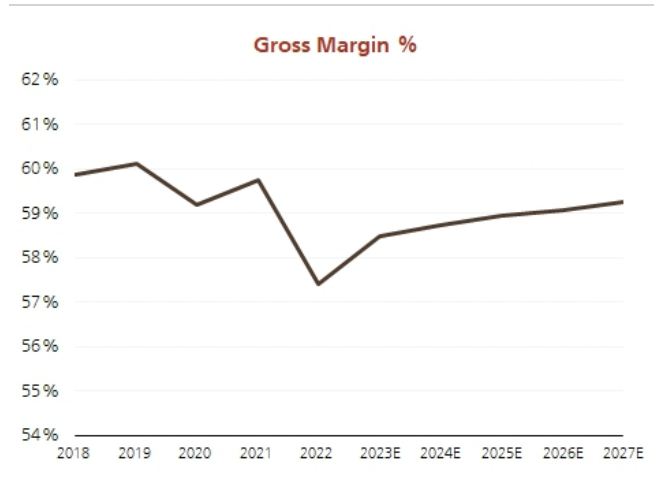
lack Cisco's scale. In addition both companies generate roughly  $\frac{2}{3}$  of total revenue from "Product" with the remaining  $\frac{1}{3}$  from "Services". While the composition of each category is slightly different at each company, on a blended basis the customer focus and mix between Product and Services makes for a reasonably balanced comparison in our view.

**Figure 22: Extreme Gross Margin forecast**



Source: Company data and UBS estimates

**Figure 23: Juniper Gross Margin forecast**



Source: Company data and UBS estimates

### Gross margin upside likely from depressed levels...

In FY23, Extreme reported Non-GAAP gross margins of 58.9%, up 50 bps YoY, roughly 40 bps above our 58.5% forecast for Juniper's CY23. Importantly, Product gross margins at Extreme in FY23 were 55.5%, 260 bps above our 52.9% forecast for Juniper Product gross margins in CY23. While Extreme's Product gross margins are well above our Juniper forecast, Services gross margins at Extreme are below coming in at 67.2% in FY23 compared to our 69.6% forecast for Juniper Services in CY23.

### ...but gross margin targets in the past have been aggressive

Over the past five years, Extreme management has established several long term targets that have been achieved to varying degrees. In May 2018, Extreme guided long-term Non-GAAP gross margins > 60% and Non-GAAP Operating margins > 15%. While Extreme hit the gross margin target three years later in FY21 (60.8%), operating margin came in at just 10.9%. Less than a year later in Feb-19, Extreme updated its long-term Non-GAAP gross margin target to 60%-62% followed by a raise to 63%-65% in Feb-21, and a subsequent raise to 64%-66% in May-22 while gross margins remained below 60% in FY22 and FY23.

Similar to other networking names, supply chain constraints stemming from the pandemic have had a negative impact on Extreme's margins, where it has had to source scarce components at significantly higher prices on the open market. However, management has noted that the supply has been improving significantly and lead times are coming down faster than expected. That said, prior to Covid, Extreme gross margins were roughly 200 bps below the >60% long-term target suggesting some optimism was embedded in the guide.

**Figure 24: Extreme's long-term Gross Margin guidance has steadily increased...**

| Guidance | Non-GAAP Gross Profit % |
|----------|-------------------------|
| May-18   | > 60%                   |
| Nov-18   | > 60%                   |
| Feb-19   | 60% - 62%               |
| Nov-20   | > 60%                   |
| Feb-21   | 63%-65%                 |
| May-22   | 64%-66%                 |

Source: Company data

**Figure 25: ...despite limited expansion the past several years**

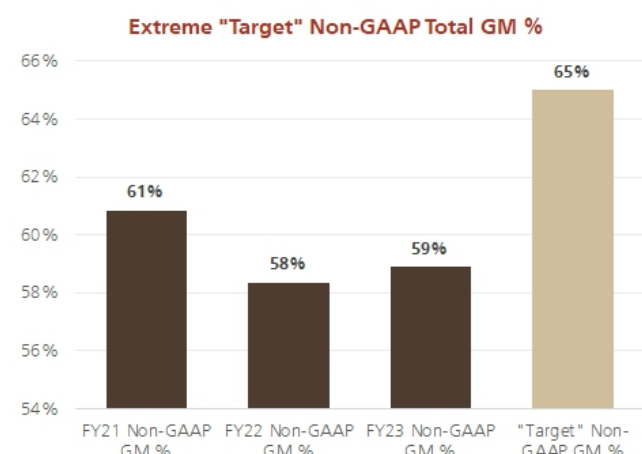
| Actual | Non-GAAP GM % |
|--------|---------------|
| FY18   | 57.9%         |
| FY19   | 58.2%         |
| FY20   | 59.1%         |
| FY21   | 60.8%         |
| FY22   | 58.4%         |
| FY23   | 58.9%         |

Source: Company data

### 65% long-term gross margin target driven by mix and supply chain

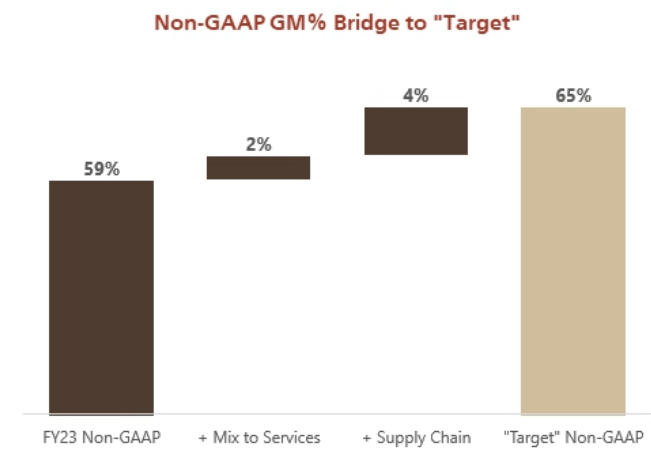
Over the long-term, Extreme management believes that its gross margin will expand 600 bps to 65% from 59% in FY22/FY23 as elevated supply chain costs ease lifting gross margins 400 bps while a mix shifts toward services and subscription contributes an incremental 200 bps margin contribution. Management has identified that XIQ (new and renewals), WAN Edge, and its deferred revenue balance, as well as growth opportunities in 5G, will drive subscription growth of 35%-45%.

**Figure 26: Extreme targeting 65% Non-GAAP gross margins, up from 59% in FY23**



Source: Company data

**Figure 27: Long-term "Target" GM % driven by mix and supply chain costs easing**



Source: Company data

### We forecast GM's of 62% in FY25, 360 bps higher than FY22

Like many peers, Extreme's gross margins have been negatively impacted by elevated supply chain expenses including expedite fees, higher component costs and other logistics headwinds. As part of the long-term guidance, management expects the easing of these costs to drive 4 points of gross margin expansion. In addition to the 4 point tailwind from lower supply chain costs, the mix to more Services and Subscriptions is expected to add 2 pts to gross margins. As noted earlier, our analysis indicates these targets over the next couple of years are likely to prove aggressive.

The company has noted that the easing of higher than normal expedite costs (to get components in), freight costs (heavier utilization of air shipping vs sea), and elevated component costs will be additive to its gross margin. In addition, the expansion of its Universal Platform simplifies its SKU structure - upon 100% portfolio integration, Extreme can procure parts for only one piece of hardware instead of multiple, and use one OS operable amongst its various products. By working down its legacy product backlog, Extreme will be able to ship more Universal, providing a lift to margins.

From a Product margin perspective, mid 50s% gross margins in FY22 / FY23 (54.6% / 55.5%) are several hundred basis points above peer Juniper (CY22 / CY 23e: 52.1% / 52.9%). Therefore, we forecast Extreme Product gross margins to expand 390 bps to 59.4% in FY25 from 55.5% in FY23 as core Product margins ex supply chain costs are unlikely to expand above 60%.

Given Services margins are already roughly 67% in FY22/FY23, we expect a more modest increase as Subscriptions become a larger mix of Services and Subscriptions. Embedded in our forecast is Subscription gross margins of 75%-80% with the remaining Services revenue stream generating gross margins of roughly 62%-63%.

**Figure 28: Gross margins should trend higher**

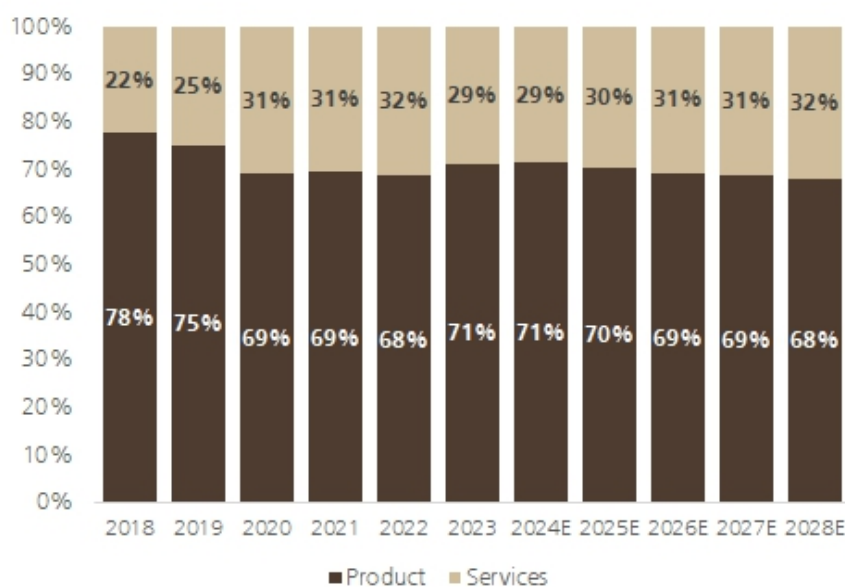
| Year  | Product GM % | Services & Subs GM % | Total GM % | Consensus |
|-------|--------------|----------------------|------------|-----------|
| FY22  | 54.6%        | 66.6%                | 58.4%      |           |
| FY23  | 55.5%        | 67.2%                | 58.9%      |           |
| FY24E | 58.7%        | 67.1%                | 61.1%      | 61.6%     |
| FY25E | 59.4%        | 67.9%                | 62.0%      | 62.6%     |

Source: Company data, UBS estimates, and Visible Alpha

### Mix supports gross margin expansion

Near-term, Product revenue growth of 22% and 15% in FY23 and FY24e respectively driven by backlog drawdown should result in Product revenue accounting for 71% of total revenue, up from 68% in FY22 as supply chain disruptions limited shipments. Normalization of backlog throughout FY24 into FY25 coupled with soft order growth should result in Services revenue exceeding 30% of total revenue as Product growth slows to high single digits in FY25. (UBSe 7% / Consensus 14%). As Product growth slows further given backlog should be normalized by F1Q:25 and industry growth decelerates to low to mid-single digits, we expect Services to comprise 32% of revenue by FY28 providing a modest tailwind.

**Figure 29: Extreme revenue by segment should skew towards Services and Subscriptions over time supporting margins**



Source: Company reports and UBS estimates

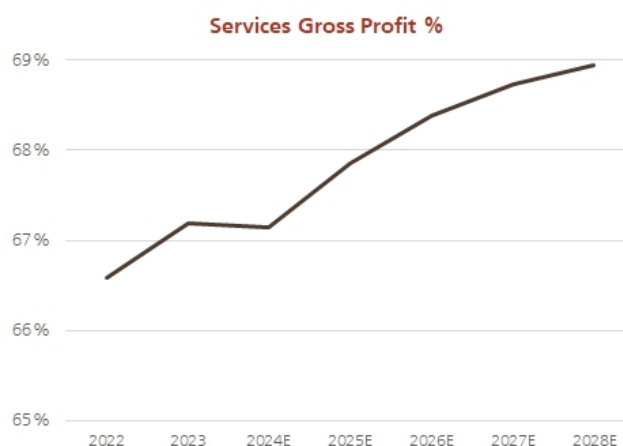


**Figure 30: Extreme Product Gross margin forecast**



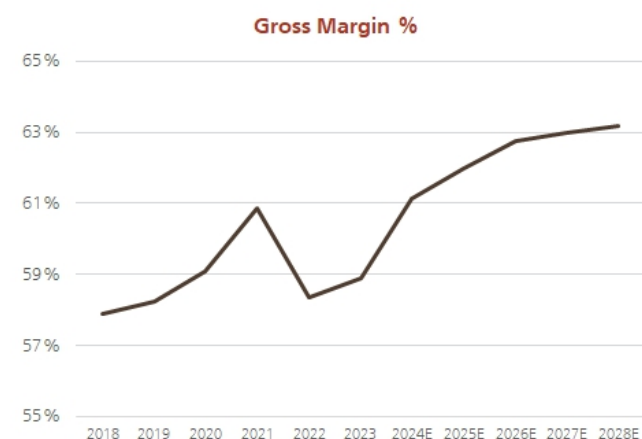
Source: Company data and UBS estimates

**Figure 31: Extreme Services Gross margin forecast**



Source: Company data and UBS estimates

**Figure 32: Extreme Consolidated Gross margin %**



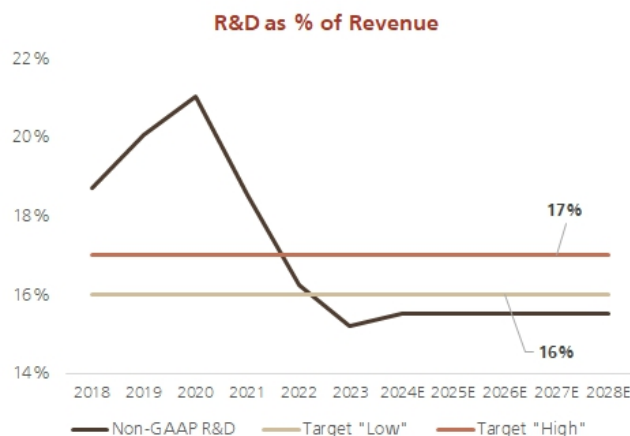
Source: Company reports and UBS estimates

### Operating expenses already "optimized" and in-line with the long-term model

In May-22, Extreme announced its long-term model for both revenue and margins. While gross margins have been consistently below prior targets, strong revenue growth and strict cost discipline has reduced operating expenses as a % of revenue from over 50% (FY18-FY21) to just 44% in FY23, just 100 bps above the 43%-47% long-term model. Since FY20, R&D has declined to 15.2% of revenue from 21%, sales and marketing has declined to 24% from ~26% while G&A has been steady coming in at 5.2% in FY23, up 20 bps from FY20.

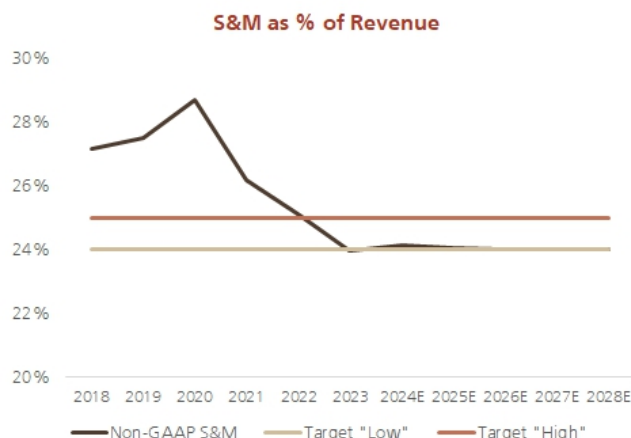
Given strong cost discipline coupled with investment in new products and subscriptions like WAN, we expect OpEx as a % of revenue to be relatively stable at 44% of revenue over the next 5 years, near the low end of the target model. However, if OpEx declines to 43% in FY24, a 1 point reduction adds roughly 8-10 cents to EPS or 6% upside.

**Figure 33: R&D as % of revenue is already below the long-term target model**



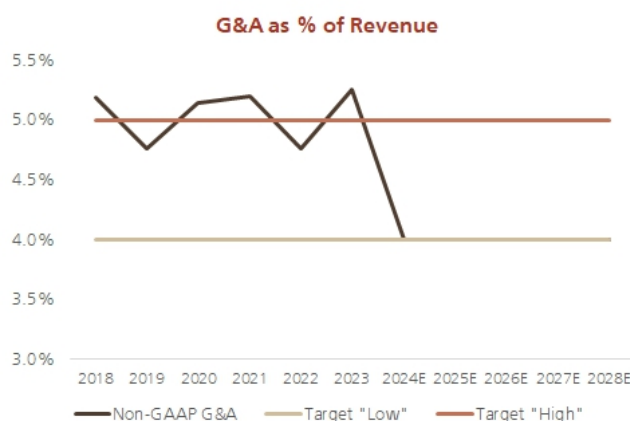
Source: Company data and UBS estimates

**Figure 34: Extreme's S&M expense is towards the low end of the target range in FY23**



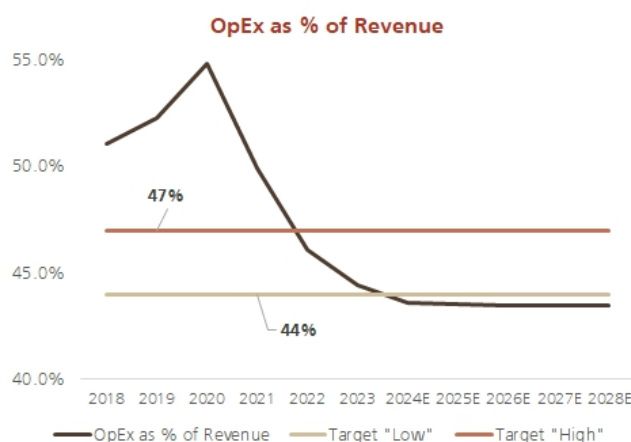
Source: Company data and UBS estimates

**Figure 35: G&A as % of revenue was 4% in FY23, at the low-end of the target range**



Source: Company data and UBS estimates

**Figure 36: OpEx as % of revenue is already at the low-end of the long-term target model limiting leverage**



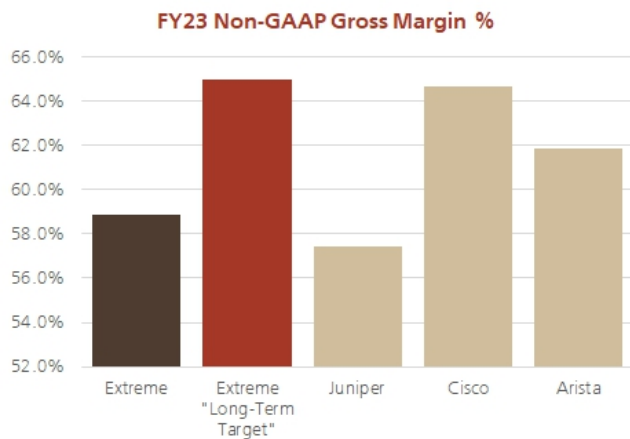
Source: Company data and UBS estimates

### Benchmarking Extreme margins to peers highlights a limited opportunity

Due to its scale, Extreme's margins trail that of larger peers like Cisco, and Arista. In each companies' respective FY22, Non-GAAP gross margins were 64.6% for Cisco, 61.9% for Arista, 58.4% for Extreme, and 57.4% for Juniper. Further, both Cisco and Arista reported higher Non-GAAP operating margin numbers at 33.6% and 41.0% respectively vs Extreme's 12.2% and Juniper's 15.7%. For Cisco/Arista, R&D, S&M, and G&A made up 11.1%/13.6%, 16.4%/5.9%, and 3.5%/1.4% of their respective revenues. On the other hand, Extreme/Juniper reported that each operating expense made up 16.2%/18.0%, 25.1%/20.0%, and 4.8%/3.7% of their respective revenues.

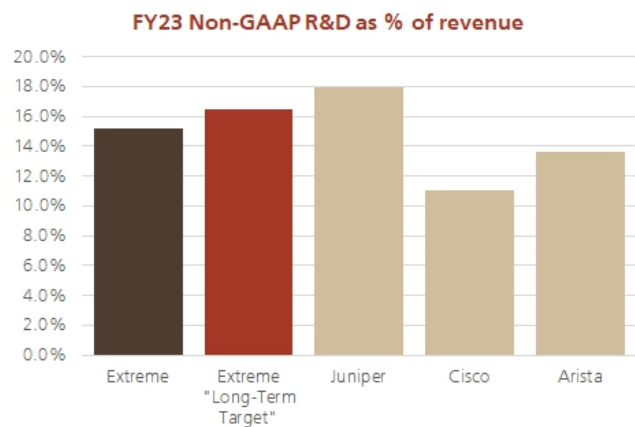
As noted earlier, we expect upside to Extreme gross margins but not to the 65% long-term target while OpEx as a % of revenue is already at the lower end of management's long-term target.

**Figure 37: Extreme gross margin vs key peers**



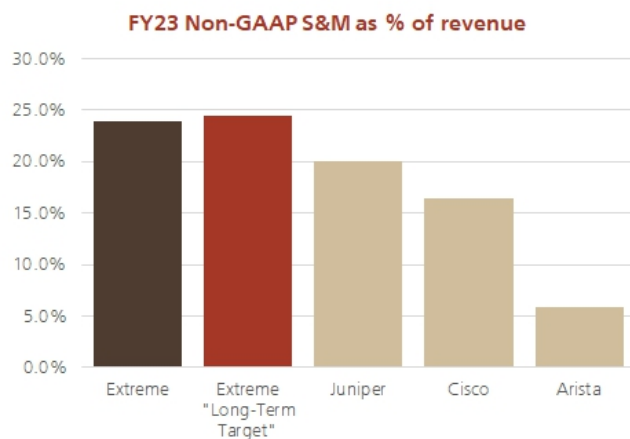
Source: Company reports and UBS estimates

**Figure 38: Extreme R&D as a % of revenue vs key peers**



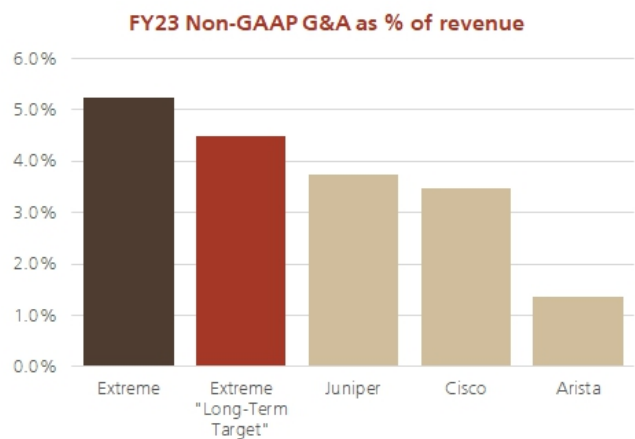
Source: Company reports and UBS estimates

**Figure 39: Extreme S&M as a % of revenue vs key peers**



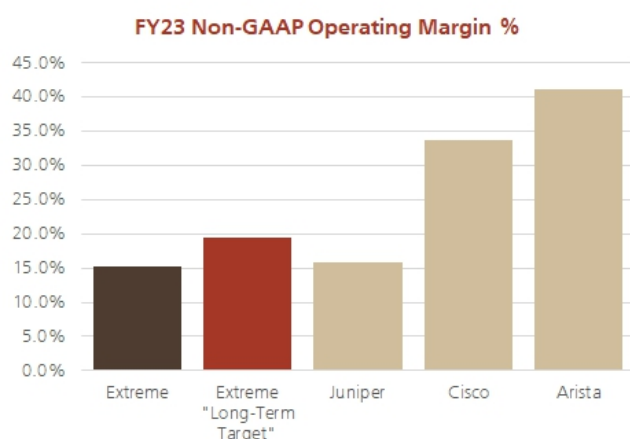
Source: Company reports and UBS estimates

**Figure 40: Extreme G&A as a % of revenue vs key peers**



Source: Company reports and UBS estimates

**Figure 41: Extreme operating margin vs key peers**



Source: Company reports and UBS estimates

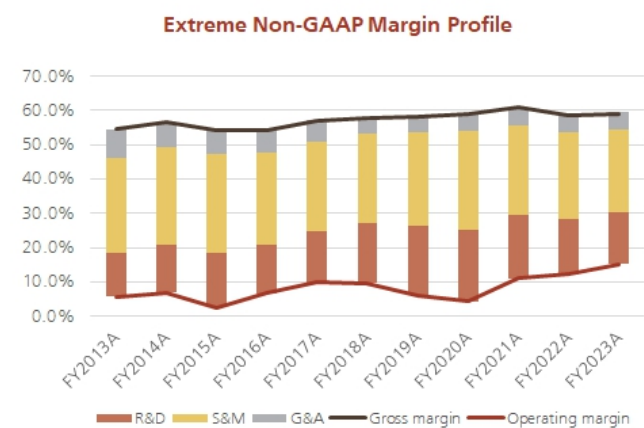
### The high-end of Extreme's long-term 18%-21% OP margin not priced in the shares

Extreme guided its long-term operating margin to a range of 18%-21%, or 19.5% at the mid-point. While lower than Cisco and Arista, an operating margin of 19.5% is

nearly 4 points higher than Juniper's in its FY22. Importantly, Juniper has noted over the long term that they believe the business could generate operating margins of 20%, consistent with Extreme's long-term target. However, we do not think there is much opportunity for Extreme to target further cost optimization below the gross margin line to expand its operating margin, considering that its expenses as a percentage of revenue in FY23 were roughly in-line with its long-term targets at the mid-point.

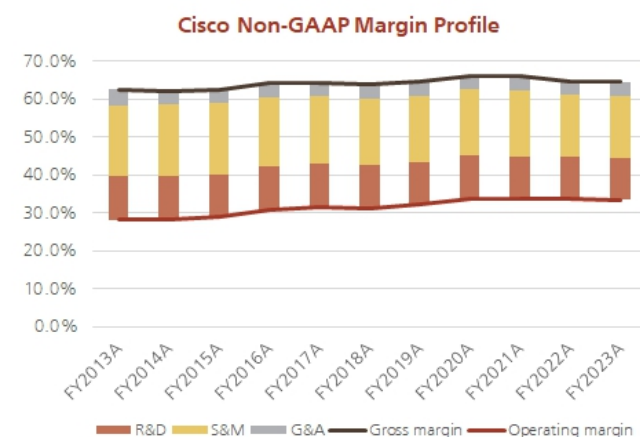
Given Juniper's OpEx as % of revenue is roughly 2 points lower than Extreme while revenue is ~4x larger, we believe 20% operating margins even if achieved would be "peakish".

**Figure 42: Extreme's margin profile has upside but as revenue growth slows, it could be prove difficult to leverage OpEx**



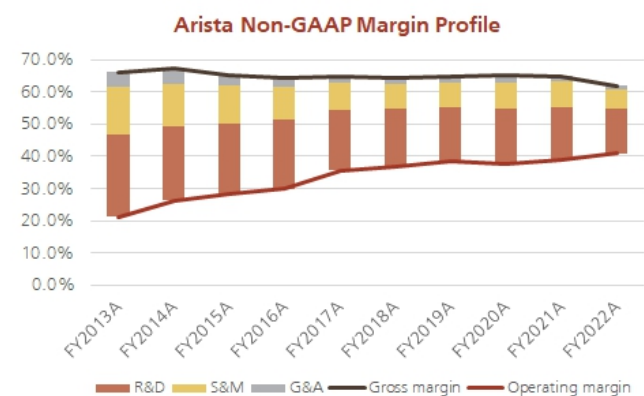
Source: Company reports and UBS estimates

**Figure 43: Cisco's margin profile reflects revenue scale, mix, and tight cost discipline**



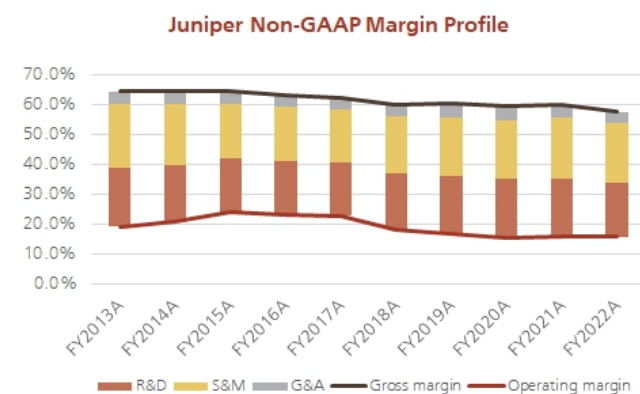
Source: Company reports and UBS estimates

**Figure 44: Arista margin profile benefits from G&A below 2% of revenue**



Source: Company reports and UBS estimates

**Figure 45: Juniper's margin profile most closely aligns with Extreme's long-term model**



Source: Company reports and UBS estimates

## Valuation analysis: Extreme shares look intrinsically fairly valued

To arrive at our price target, we utilize an assortment of valuation techniques including P/E supported by intrinsic methods including discounted cash flow models. Despite the limitations of relative value methods, we believe investors can derive utility from P/E by deconstructing the multiples into all the embedded variables that drive a discounted cash flow valuation. A summary of our Extreme valuation analysis that supports our P/E multiple driven target is as follows:

### Two-stage P/E model yields a target of \$30

In our analysis, we modified a basic dividend discount model to adjust for the stage in the corporate life cycle of Juniper as well as to capture the free cash flow to equity, not the dividends paid by the companies. Our first modification allows us to capture a 10-year "high-growth" period in earnings. Second, we substituted the dividend payout ratio with the earnings of the firm treating the earnings as a hypothetical "big" dividend. As in our DCF analysis, we used a risk-free rate of 4% to conservatively account for slightly higher interest rates than market levels. In addition, we consistently applied a 5.5% equity risk premium to account for the considerable price volatility in the market. Lastly, we applied a 1.3 adjusted beta using weekly returns over the past two years. Our model yields a projected P/E multiple of ~16X and a 12-month target of \$30.

Figure 46: P/E model yields a \$30 12-month target

| EXTR: P/E CALCULATION                | EXTR-US         |
|--------------------------------------|-----------------|
| High growth period (in years)        | 10              |
| CAGR revenue growth in period        | 5.0%            |
| CAGR earnings growth in period       | 8.0%            |
| CAGR earnings growth stable period   | 2.0%            |
| Risk free rate                       | 4.00%           |
| Beta                                 | 1.30            |
| Equity risk premium                  | 5.50%           |
| Cost of Equity (CAPM)                | 11.1%           |
| Projected P/E multiple (CAPM)        | 16.2x           |
| <b>VALUATION ANALYSIS:</b>           |                 |
| FY 2025E EPS                         | \$1.82          |
| Times: Projected P/E multiple (CAPM) | 16.2x           |
| <b>Implied share price (CAPM)</b>    | <b>\$ 29.51</b> |

Source: Company reports, UBS research estimates

Figure 47: Extreme's NTM P/E is more than one standard deviation above the trailing 3-year average reflecting better expected growth



Source: Bloomberg

Figure 48: Extreme's relative NTM P/E is at one standard deviation above the trailing 3-year average reflecting better growth compared to history



Source: Bloomberg

## Market pricing in 6%-7% EPS growth over the next 10 years and ~FY24 EPS of \$1.55

Our reverse deconstructed P/E multiple derivation suggests that investors are confident that Extreme can grow earnings 6%-7%, faster than Cisco and Juniper lagging only hyperscaler focused Arista. While recent growth is encouraging, largely on the back of backlog drawdown, given we expect Extreme's TAM to only grow mid-single digits, below the company's low double digit view, we believe the market is pricing in minimal share gains

Our analysis indicates the market is embedding 6%-7% EPS growth over the next 10 years and 2% growth in perpetuity as margins stabilize yielding a ~15x P/E multiple.

**Figure 49: Market pricing in FY24E EPS of \$1.55 in FY25 and 6.5% EPS growth over the long-term**

| EXTR: P/E CALCULATION                | EXTR-US         |
|--------------------------------------|-----------------|
| High growth period (in years)        | 10              |
| CAGR revenue growth in period        | 4.5%            |
| CAGR earnings growth in period       | 6.5%            |
| CAGR earnings growth stable period   | 2.0%            |
| Risk free rate                       | 4.00%           |
| Beta                                 | 1.30            |
| Equity risk premium                  | 5.50%           |
| Cost of Equity (CAPM)                | 11.2%           |
| Projected P/E multiple (CAPM)        | 15.2x           |
| <b>VALUATION ANALYSIS:</b>           |                 |
| FY 2024E EPS                         | \$1.55          |
| Times: Projected P/E multiple (CAPM) | 15.2x           |
| <b>Implied share price (CAPM)</b>    | <b>\$ 23.62</b> |

Source: UBS estimates, Bloomberg and Visible Alpha

**Figure 50: Downside scenario reflects FY25E EPS of \$1.41 (Consensus \$1.55) as soft orders and industry pressure leads to a re-rating back to ~12.5x, one standard deviation below the the trailing 3-year average**

| EXTR: P/E CALCULATION                | EXTR-US         |
|--------------------------------------|-----------------|
| High growth period (in years)        | 10              |
| CAGR revenue growth in period        | 3.0%            |
| CAGR earnings growth in period       | 4.0%            |
| CAGR earnings growth stable period   | 2.0%            |
| Risk free rate                       | 4.00%           |
| Beta                                 | 1.30            |
| Equity risk premium                  | 5.50%           |
| Cost of Equity (CAPM)                | 11.2%           |
| Projected P/E multiple (CAPM)        | 12.4x           |
| <b>VALUATION ANALYSIS:</b>           |                 |
| FY 2025E EPS                         | \$1.41          |
| Times: Projected P/E multiple (CAPM) | 12.4x           |
| <b>Implied share price (CAPM)</b>    | <b>\$ 17.55</b> |

Source: UBS estimates, Bloomberg and Visible Alpha

**Figure 51: Our upside scenario of ~\$36 is driven by 15% revenue growth in FY25E and 20% operating margins and long-term EPS growth of 9%**

| EXTR: P/E CALCULATION                | EXTR-US         |
|--------------------------------------|-----------------|
| High growth period (in years)        | 10              |
| CAGR revenue growth in period        | 7.0%            |
| CAGR earnings growth in period       | 9.0%            |
| CAGR earnings growth stable period   | 2.0%            |
| Risk free rate                       | 4.00%           |
| Beta                                 | 1.30            |
| Equity risk premium                  | 5.50%           |
| Cost of Equity (CAPM)                | 11.2%           |
| Projected P/E multiple (CAPM)        | 17.2x           |
| <b>VALUATION ANALYSIS:</b>           |                 |
| FY 2025E EPS                         | \$2.09          |
| Times: Projected P/E multiple (CAPM) | 17.2x           |
| <b>Implied share price (CAPM)</b>    | <b>\$ 36.06</b> |

Source: UBS estimates, Bloomberg and Visible Alpha

## Key Risks - Macro, competition, and technology

**Macro headwinds pressure IT spending.** We forecast a three revenue CAGR of ~10%, solidly above mid-single digit industry growth over the same period. However, IT spending and Networking specifically are impacted by macro conditions. While our forecast assumes a stable macro backdrop, recessions and exogenous shocks like Covid are risks to our revenue forecast. In prior economic downturns, spending on Networking equipment was not immune with the Campus industry declining 6% in 2016 and 5% in 2020.

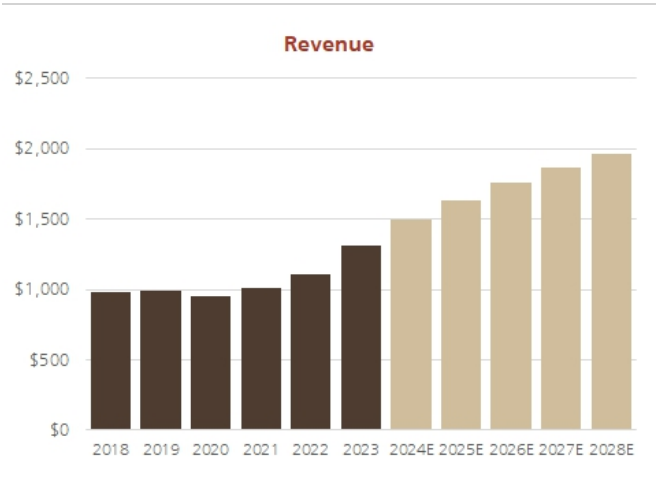
**Well capitalized competition.** A key factor underpinning our forecast that Extreme revenue growth should exceed industry growth over the next several years is the company's ability to take share using technology that is compatible with legacy installed equipment and in some cases using price as a lever. However, Extreme competes with competitors like Cisco that are significantly larger as measured by revenue that generate significantly more cash flow. If larger competitors price more aggressively, Extreme's ability to take share and grow revenue could be negatively impacted.

**Technology innovation.** To date, technological innovation across the Networking industry has resulted in meaningful share shifts across vendors. For example, Cisco, an industry leader, has ceded material market share to several vendors in the data center switching market given evolving technical needs of hyperscalers. If Extreme, or any other Networking vendor, is unable to invest appropriate resources as technology evolves, potentially around AI/ML, there is risk recent share gains captured by Extreme could reverse, impacting revenue growth.



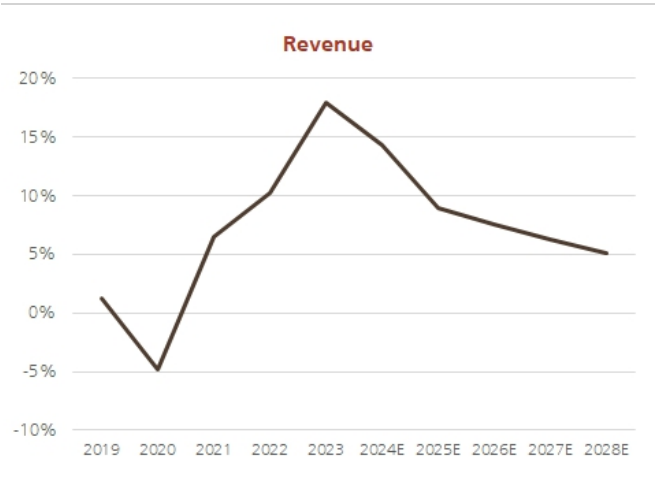
Extreme financial exhibits

Figure 52: We forecast revenue to grow at a 9% CAGR the next five years driven by ~15% growth in FY24



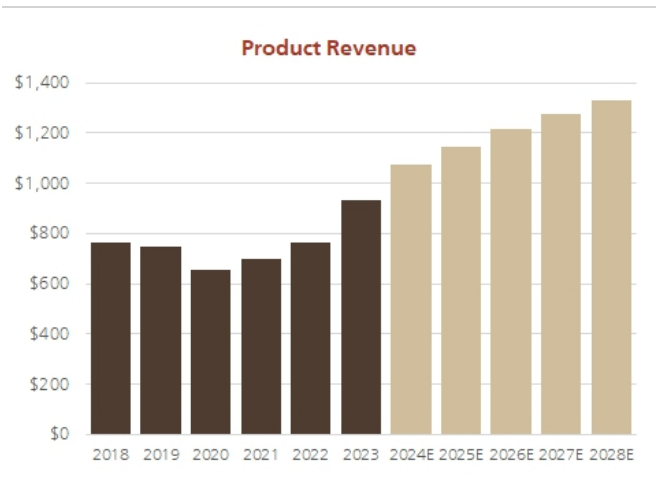
Source: Company data and UBS estimates

Figure 53: Backlog aided revenue growth should peak in FY23/FY24 before decelerating to ~9% in FY25



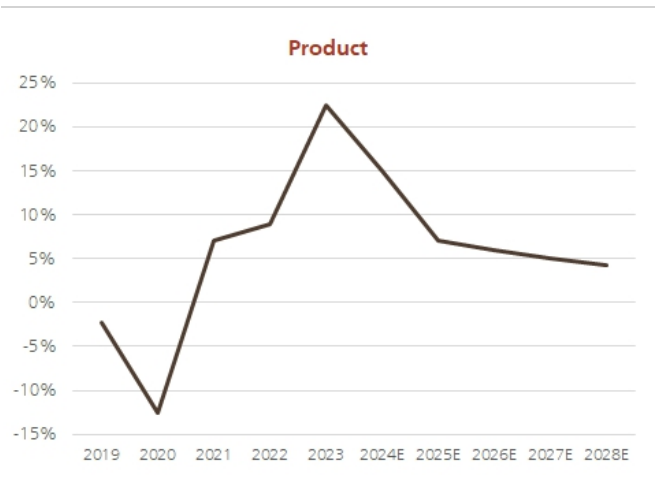
Source: Company data and UBS estimates

Figure 54: We forecast Product rev to grow at a ~7% CAGR the next 5 years as backlog is no longer a tail wind beyond FY24



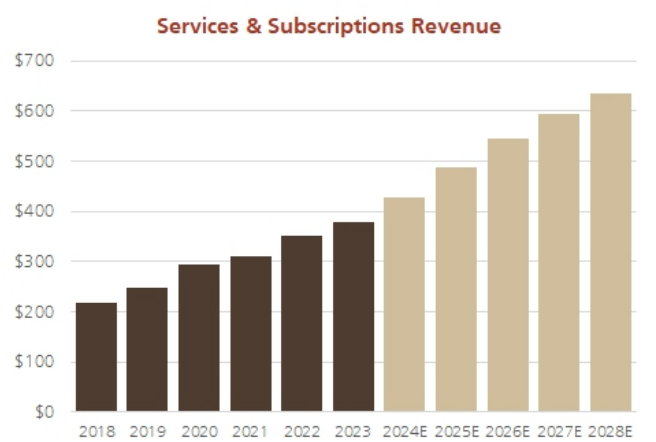
Source: Company data and UBS estimates

Figure 55: Product revenue growth likely peaked at ~22% in FY23 driven by early orders and backlog



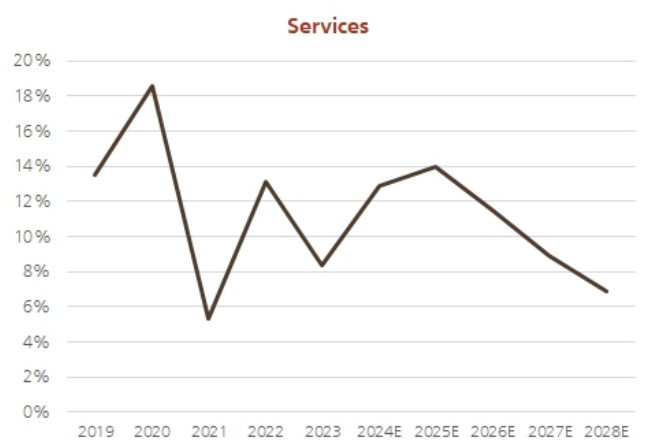
Source: Company data and UBS estimates

Figure 56: We forecast Services & Subscriptions revenue to grow at a ~12% CAGR the next 5 years driven by 25% Subscription growth and 5% Services growth



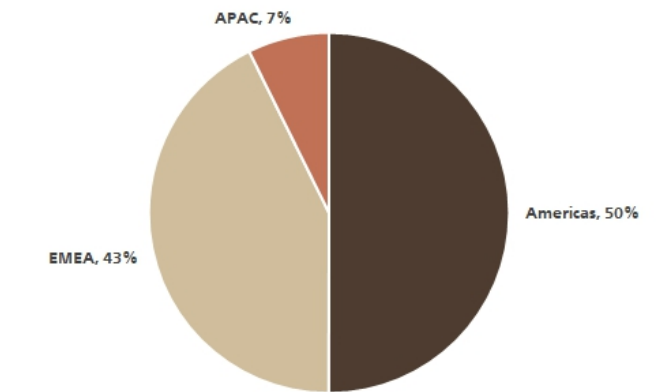
Source: Company data and UBS estimates

Figure 57: Subscription growth should drive peak growth in FY25 before decelerating back to high single digits



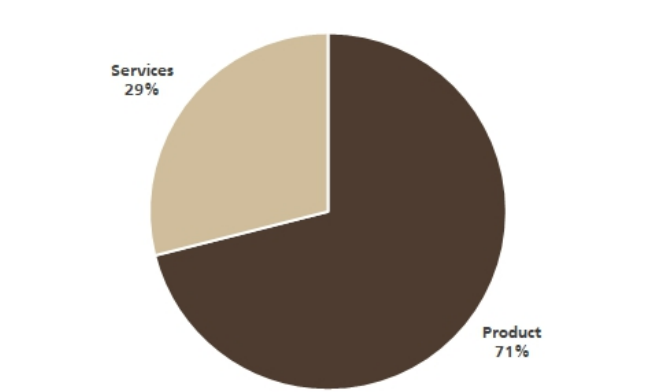
Source: Company data and UBS estimates

Figure 58: Roughly 50% of Extreme revenue is generated in the Americas in FY23



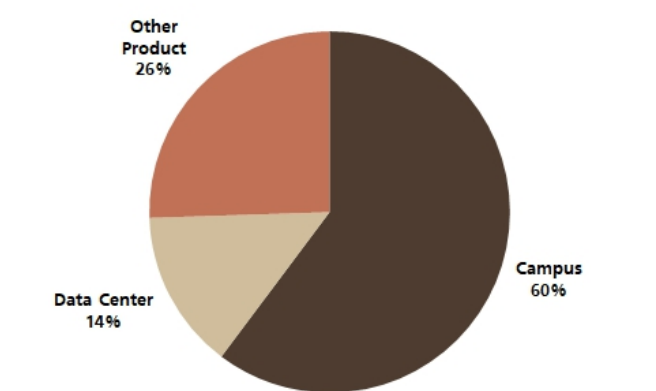
Source: Company data and UBS estimates

Figure 59: Roughly 71% of Extreme revenue is derived from Product in FY23



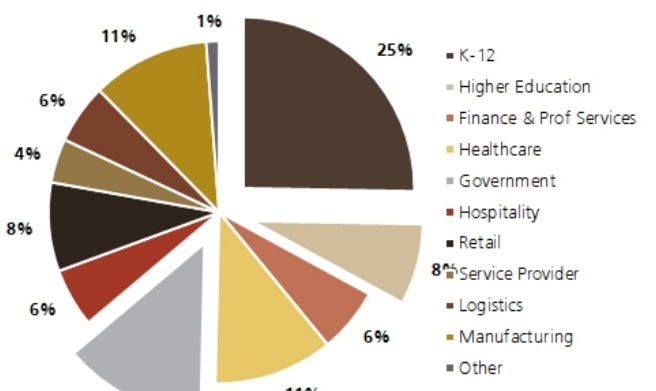
Source: Company data and UBS estimates

Figure 60: We estimate the Campus vertical accounts for roughly 60% of Extreme's Product revenue (FY22)



Source: UBS estimates and Dell'Oro

Figure 61: Extreme is overweight to the government and education verticals in the Campus market (FY22)



Source: UBS estimates and Dell'Oro

**Figure 62: Extreme Historical and Forecasted Non-GAAP Income Statement**

May not add due to rounding  
FY Ends: June  
(in US\$ millions, except units & per share amounts)

|                                                  | FY2019A       | FY2020A       | FY2021A        | FY2022A        | FY2023A        | FY2024E       |               |               |               | FY2024E        | FY2025E        | FY2026E        | FY2027E        | FY2028E        |
|--------------------------------------------------|---------------|---------------|----------------|----------------|----------------|---------------|---------------|---------------|---------------|----------------|----------------|----------------|----------------|----------------|
|                                                  |               |               |                |                |                | Sep-23E       | Dec-23E       | Mar-24E       | Jun-24E       |                |                |                |                |                |
| <b>Net revenues:</b>                             |               |               |                |                |                |               |               |               |               |                |                |                |                |                |
| Product                                          | 747.6         | 653.7         | 699.4          | 761.7          | 932.5          | 245.5         | 263.7         | 274.8         | 287.8         | 1,071.8        | 1,152.2        | 1,225.6        | 1,292.0        | 1,351.5        |
| Service and subscription                         | 248.2         | 294.4         | 310.0          | 350.6          | 380.0          | 103.2         | 107.1         | 103.7         | 115.0         | 429.1          | 488.9          | 545.2          | 593.7          | 634.8          |
| Purchase accounting adjustment                   |               |               |                |                |                |               |               |               |               |                |                |                |                |                |
| <b>Total net revenue</b>                         | <b>995.8</b>  | <b>948.0</b>  | <b>1,009.4</b> | <b>1,112.3</b> | <b>1,312.5</b> | <b>348.7</b>  | <b>370.7</b>  | <b>378.6</b>  | <b>402.9</b>  | <b>1,500.8</b> | <b>1,641.1</b> | <b>1,770.8</b> | <b>1,885.7</b> | <b>1,986.3</b> |
| Yr-to-Yr percent growth                          | 1.3%          | -4.8%         | 6.5%           | 10.2%          | 18.0%          | 17.1%         | 16.5%         | 13.8%         | 10.7%         | 14.4%          | 9.3%           | 7.9%           | 6.5%           | 5.3%           |
| <b>Non-GAAP Cost of revenues:</b>                |               |               |                |                |                |               |               |               |               |                |                |                |                |                |
| Product                                          |               |               |                | 346.0          | 414.8          | 101.9         | 109.1         | 113.4         | 118.4         | 442.7          | 467.3          | 487.8          | 512.7          | 534.6          |
| Service and subscription                         |               |               |                | 117.1          | 124.7          | 33.9          | 35.3          | 33.7          | 38.1          | 141.0          | 157.1          | 172.3          | 185.7          | 197.2          |
| Total Non-GAAP cost of revenues                  | 415.8         | 387.7         | 395.3          | 463.1          | 539.5          | 135.8         | 144.3         | 147.1         | 156.5         | 583.7          | 624.4          | 660.2          | 698.3          | 731.8          |
| Non-GAAP COGS % of revenue                       | 41.8%         | 40.9%         | 39.2%          | 41.6%          | 41.1%          | 38.9%         | 38.9%         | 38.8%         | 38.8%         | 38.9%          | 38.0%          | 37.3%          | 37.0%          | 36.8%          |
| Non-GAAP product gross profit                    |               |               |                | 415.7          | 517.6          | 143.6         | 154.6         | 161.4         | 169.5         | 629.1          | 684.9          | 737.8          | 779.4          | 816.9          |
| Non-GAAP product gross margin %                  |               |               |                | 54.6%          | 55.5%          | 58.5%         | 58.6%         | 58.8%         | 58.9%         | 58.7%          | 59.4%          | 60.2%          | 60.3%          | 60.4%          |
| Non-GAAP service and subscription gross profit   |               |               |                | 233.5          | 255.3          | 69.3          | 71.8          | 70.0          | 76.9          | 288.1          | 331.8          | 372.8          | 408.0          | 437.6          |
| Non-GAAP service and subscription gross margin % |               |               |                | 66.6%          | 67.2%          | 67.1%         | 67.1%         | 67.5%         | 66.9%         | 67.1%          | 67.9%          | 68.4%          | 68.7%          | 68.9%          |
| <b>Total Non-GAAP gross profit</b>               | <b>580.0</b>  | <b>560.3</b>  | <b>614.1</b>   | <b>649.2</b>   | <b>773.0</b>   | <b>212.9</b>  | <b>226.4</b>  | <b>231.5</b>  | <b>246.4</b>  | <b>917.2</b>   | <b>1,016.7</b> | <b>1,110.6</b> | <b>1,187.4</b> | <b>1,254.6</b> |
| Non-GAAP Gross margin %                          | 58.2%         | 59.1%         | 60.8%          | 58.4%          | 58.9%          | 61.1%         | 61.1%         | 61.2%         | 61.2%         | 61.1%          | 62.0%          | 62.7%          | 63.0%          | 63.2%          |
| Non-GAAP R&D                                     | 199.7         | 199.3         | 187.0          | 180.6          | 199.4          | 54.2          | 57.5          | 58.7          | 62.4          | 232.8          | 254.4          | 274.5          | 292.3          | 307.9          |
| Non-GAAP R&D % of revenue                        | 20.1%         | 21.0%         | 18.5%          | 16.2%          | 15.2%          | 15.5%         | 15.5%         | 15.5%         | 15.5%         | 15.5%          | 15.5%          | 15.5%          | 15.5%          | 15.5%          |
| Non-GAAP S&M                                     | 273.6         | 271.7         | 264.3          | 279.5          | 314.7          | 85.5          | 89.0          | 90.9          | 96.7          | 362.0          | 394.9          | 425.1          | 452.6          | 476.7          |
| Non-GAAP S&M % of revenue                        | 27.5%         | 28.7%         | 26.2%          | 25.1%          | 24.0%          | 24.5%         | 24.0%         | 24.0%         | 24.0%         | 24.1%          | 24.1%          | 24.0%          | 24.0%          | 24.0%          |
| Non-GAAP G&A                                     | 47.4          | 48.7          | 52.5           | 52.9           | 68.9           | 13.9          | 14.8          | 15.1          | 16.1          | 60.0           | 65.6           | 70.8           | 75.4           | 79.5           |
| Non-GAAP G&A % of revenue                        | 4.8%          | 5.1%          | 5.2%           | 4.8%           | 5.3%           | 4.0%          | 4.0%          | 4.0%          | 4.0%          | 4.0%           | 4.0%           | 4.0%           | 4.0%           | 4.0%           |
| Non-GAAP OpEx                                    | 519.4         | 519.7         | 503.9          | 513.0          | 574.0          | 153.6         | 161.3         | 164.7         | 175.3         | 654.8          | 714.9          | 770.4          | 820.3          | 864.1          |
| Non-GAAP opex % of revenue                       | 52.2%         | 54.8%         | 49.9%          | 46.1%          | 43.7%          | 44.1%         | 43.5%         | 43.5%         | 43.5%         | 43.6%          | 43.6%          | 43.5%          | 43.5%          | 43.5%          |
| <b>Non-GAAP Operating income</b>                 | <b>60.6</b>   | <b>40.6</b>   | <b>110.3</b>   | <b>136.2</b>   | <b>198.9</b>   | <b>59.3</b>   | <b>65.1</b>   | <b>66.8</b>   | <b>71.1</b>   | <b>262.3</b>   | <b>301.8</b>   | <b>340.2</b>   | <b>367.1</b>   | <b>390.5</b>   |
| Non-GAAP Operating margin                        | 6.1%          | 4.3%          | 10.9%          | 12.2%          | 15.2%          | 17.0%         | 17.6%         | 17.7%         | 17.7%         | 17.5%          | 18.4%          | 19.2%          | 19.5%          | 19.7%          |
| Interest income                                  | 2.2           | 1.4           | 0.4            | 0.4            | 3.2            | 2.3           | 2.6           | 3.5           | 4.2           | 12.6           | 24.3           | 36.8           | 50.1           | 64.2           |
| Interest expense                                 | (12.6)        | (23.8)        | (22.9)         | (12.8)         | (17.4)         | (3.9)         | (3.9)         | (3.9)         | (3.9)         | (15.5)         | (15.5)         | (15.5)         | (15.5)         | (15.5)         |
| Other income (expense), net                      | (0.8)         | 0.7           | (1.7)          | 0.4            | 0.0            | 0.0           | 0.0           | 0.0           | 0.0           | 0.0            | 0.0            | 0.0            | 0.0            | 0.0            |
| <b>Pre-tax income continuing ops (Non-GAAP)</b>  | <b>49.5</b>   | <b>19.0</b>   | <b>86.1</b>    | <b>124.2</b>   | <b>186.3</b>   | <b>57.7</b>   | <b>63.9</b>   | <b>66.4</b>   | <b>71.4</b>   | <b>259.4</b>   | <b>310.5</b>   | <b>361.5</b>   | <b>401.7</b>   | <b>439.1</b>   |
| Non-GAAP income taxes (benefit)                  | 7.7           | 6.4           | 13.9           | 20.7           | 40.0           | 12.7          | 14.0          | 14.6          | 15.7          | 57.1           | 68.3           | 79.5           | 88.4           | 96.6           |
| Income tax rate                                  | 15.7%         | 33.5%         | 16.1%          | 16.7%          | 21.5%          | 22.0%         | 22.0%         | 22.0%         | 22.0%         | 22.0%          | 22.0%          | 22.0%          | 22.0%          | 22.0%          |
| <b>Non-GAAP Net Income</b>                       | <b>41.8</b>   | <b>12.6</b>   | <b>72.2</b>    | <b>103.5</b>   | <b>146.3</b>   | <b>45.0</b>   | <b>49.8</b>   | <b>51.8</b>   | <b>55.7</b>   | <b>202.4</b>   | <b>242.2</b>   | <b>281.9</b>   | <b>313.3</b>   | <b>342.5</b>   |
| <b>Diluted EPS</b>                               | <b>\$0.35</b> | <b>\$0.10</b> | <b>\$0.56</b>  | <b>\$0.78</b>  | <b>\$1.09</b>  | <b>\$0.34</b> | <b>\$0.37</b> | <b>\$0.39</b> | <b>\$0.42</b> | <b>\$1.52</b>  | <b>\$1.82</b>  | <b>\$2.12</b>  | <b>\$2.36</b>  | <b>\$2.58</b>  |
| Shares used in per share calculation – basic     | 118.0         | 119.8         | 124.0          | 129.4          | 129.5          | 128.3         | 128.3         | 128.3         | 128.3         | 128.3          | 128.3          | 128.3          | 128.3          | 128.3          |
| Potentially dilutive equity awards               | 2.8           | 2.4           | 3.7            | 4.1            | 4.2            | 4.6           | 4.6           | 4.6           | 4.6           | 4.6            | 4.6            | 4.6            | 4.6            | 4.6            |
| Non-GAAP shares used                             | 120.7         | 122.2         | 127.7          | 133.5          | 133.6          | 132.9         | 132.9         | 132.9         | 132.9         | 132.9          | 132.9          | 132.9          | 132.9          | 132.9          |

Source: Company data and UBS estimates

**Figure 63: Extreme Historical and Forecasted Balance Sheet**

May not add due to rounding  
FY Ends: June  
(in US\$ millions, except units & per share amounts)

|                                                                        | FY2019A      | FY2020A      | FY2021A        | FY2022A        | FY2023A        | FY2024E        | FY2025E          | FY2026E          | FY2027E          | FY2028E          |
|------------------------------------------------------------------------|--------------|--------------|----------------|----------------|----------------|----------------|------------------|------------------|------------------|------------------|
| <b>ASSETS</b>                                                          |              |              |                |                |                |                |                  |                  |                  |                  |
| <u>Current assets:</u>                                                 |              |              |                |                |                |                |                  |                  |                  |                  |
| pr Cash                                                                | 169.6        | 193.9        | 246.9          | 194.5          | 234.8          | 520.2          | 826.8            | 1,156.4          | 1,505.2          | 1,870.2          |
| pr Short term investments                                              | -            | -            | -              | -              | -              | -              | -                | -                | -                | -                |
| pr Accounts receivable, net                                            | 174.4        | 122.7        | 156.5          | 184.1          | 182.0          | 201.5          | 220.1            | 236.8            | 251.7            | 264.7            |
| pr Inventories                                                         | 63.6         | 62.6         | 32.9           | 49.2           | 89.0           | 82.7           | 87.3             | 91.1             | 95.8             | 99.9             |
| pr Deferred income taxes                                               | -            | -            | -              | -              | -              | -              | -                | -                | -                | -                |
| pr Prepaid expenses and other current assets                           | 34.4         | 35.0         | 51.3           | 61.2           | 70.3           | 77.8           | 85.0             | 91.4             | 97.1             | 102.2            |
| q Assets held for sale                                                 | -            | -            | -              | -              | -              | -              | -                | -                | -                | -                |
| <b>Total current assets</b>                                            | <b>442.0</b> | <b>414.2</b> | <b>487.6</b>   | <b>489.1</b>   | <b>576.2</b>   | <b>882.2</b>   | <b>1,219.2</b>   | <b>1,575.7</b>   | <b>1,949.8</b>   | <b>2,336.9</b>   |
| pr Property and equipment, net                                         | 73.6         | 58.8         | 55.0           | 49.6           | 46.4           | 42.3           | 40.8             | 41.0             | 42.1             | 43.7             |
| pr Operating lease right-of-use assets, net                            | -            | 51.3         | 36.9           | 36.5           | 34.7           | 38.5           | 42.0             | 45.2             | 48.0             | 50.5             |
| pr Marketable securities                                               | -            | -            | -              | -              | -              | -              | -                | -                | -                | -                |
| pr Intangible assets, net                                              | 51.1         | 68.4         | 36.0           | 32.5           | 16.1           | 0.4            | 0.0              | 0.0              | 0.0              | 0.0              |
| pr Goodwill                                                            | 138.6        | 331.2        | 331.2          | 400.1          | 394.8          | 394.8          | 394.8            | 394.8            | 394.8            | 394.8            |
| pr Other assets                                                        | 51.6         | 55.2         | 63.4           | 60.7           | 73.5           | 81.4           | 88.9             | 95.6             | 101.7            | 106.9            |
| <b>Total assets</b>                                                    | <b>756.9</b> | <b>979.1</b> | <b>1,010.1</b> | <b>1,068.5</b> | <b>1,141.7</b> | <b>1,439.5</b> | <b>1,785.7</b>   | <b>2,152.3</b>   | <b>2,536.4</b>   | <b>2,932.8</b>   |
| <b>LIABILITIES AND EQUITY</b>                                          |              |              |                |                |                |                |                  |                  |                  |                  |
| <u>Current liabilities:</u>                                            |              |              |                |                |                |                |                  |                  |                  |                  |
| pr Current portion of long-term debt, net of unamortized discount      | 9.0          | 16.5         | 23.7           | 33.3           | 34.3           | 34.3           | 34.3             | 34.3             | 34.3             | 34.3             |
| pr Accounts payable                                                    | 65.7         | 48.4         | 60.1           | 84.3           | 99.7           | 104.4          | 111.6            | 117.8            | 124.4            | 130.3            |
| pr Accrued compensation and benefits                                   | 51.6         | 50.9         | 71.6           | 53.7           | 71.4           | 79.0           | 86.3             | 92.8             | 98.7             | 103.8            |
| pr Restructuring liabilities                                           | -            | -            | -              | -              | -              | -              | -                | -                | -                | -                |
| pr Accrued warranty                                                    | 14.8         | 14.0         | 11.6           | 10.9           | 12.3           | 13.6           | 14.9             | 16.0             | 17.0             | 17.9             |
| pr Current portion of operating lease liabilities                      | -            | 19.2         | 18.7           | 14.0           | 10.8           | 12.0           | 13.1             | 14.1             | 15.0             | 15.8             |
| pr Current portion of deferred revenue                                 | 144.2        | 190.2        | 212.4          | 238.3          | 282.5          | 317.8          | 360.8            | 398.2            | 431.4            | 459.0            |
| pr Deferred distributors revenue, net of cost of sales to distributors | -            | -            | -              | -              | -              | -              | -                | -                | -                | -                |
| pr Convertible subordinated notes                                      | -            | -            | -              | -              | -              | -              | -                | -                | -                | -                |
| pr Other accrued liabilities                                           | 70.7         | 58.5         | 57.4           | 65.7           | 64.4           | 71.3           | 77.9             | 83.8             | 89.1             | 93.7             |
| <b>Total current liabilities</b>                                       | <b>356.0</b> | <b>397.8</b> | <b>455.7</b>   | <b>500.2</b>   | <b>575.5</b>   | <b>632.6</b>   | <b>698.994</b>   | <b>757.064</b>   | <b>809.911</b>   | <b>854.770</b>   |
| pr Restructuring liabilities, less current portion                     | -            | -            | -              | -              | -              | -              | -                | -                | -                | -                |
| pr Deferred revenue, less current portion                              | 59.0         | 101.0        | 133.2          | 163.4          | 219.0          | 246.4          | 279.8            | 308.8            | 334.5            | 355.9            |
| pr Long-term debt, less current portion, net of unamortized discount   | 169.7        | 394.6        | 315.9          | 270.6          | 187.6          | 187.6          | 187.6            | 187.6            | 187.6            | 187.6            |
| pr Operating lease liabilities, less current portion                   | -            | 50.2         | 32.5           | 33.3           | 31.8           | 35.3           | 38.5             | 41.4             | 44.0             | 46.3             |
| pr Deferred income taxes                                               | 2.0          | 2.3          | 3.8            | 7.7            | 7.7            | 8.6            | 9.4              | 10.1             | 10.7             | 11.3             |
| pr Other long-term liabilities                                         | 54.2         | 27.8         | 14.5           | 3.1            | 3.2            | 3.6            | 3.9              | 4.2              | 4.5              | 4.7              |
| <b>Total liabilities</b>                                               | <b>640.9</b> | <b>973.7</b> | <b>955.6</b>   | <b>978.2</b>   | <b>1,025.0</b> | <b>1,114.0</b> | <b>1,218.174</b> | <b>1,309.140</b> | <b>1,391.200</b> | <b>1,460.576</b> |
| <u>Stockholder's equity</u>                                            |              |              |                |                |                |                |                  |                  |                  |                  |
| pr Convertible preferred stock                                         | -            | -            | -              | -              | -              | -              | -                | -                | -                | -                |
| pr Common stock                                                        | 0.1          | 0.1          | 0.1            | 0.1            | 0.1            | 0.1            | 0.1              | 0.1              | 0.1              | 0.1              |
| pr Additional paid-in-capital                                          | 986.8        | 1,035.0      | 1,078.6        | 1,115.4        | 1,173.7        | 1,241.4        | 1,309.0          | 1,376.7          | 1,444.3          | 1,512.0          |
| pr Accumulated other comprehensive income/(loss)                       | (2.5)        | (6.4)        | (2.8)          | (3.1)          | (13.2)         | (13.2)         | (13.2)           | (13.2)           | (13.2)           | (13.2)           |
| pr Accumulated deficit                                                 | (853.4)      | (980.3)      | (978.3)        | (934.1)        | (856.0)        | (714.9)        | (540.5)          | (332.6)          | (98.2)           | 161.2            |
| pr Treasury stock                                                      | (15.0)       | (43.1)       | (43.1)         | (88.1)         | (187.9)        | (187.9)        | (187.9)          | (187.9)          | (187.9)          | (187.9)          |
| <b>Total stockholders' equity</b>                                      | <b>116.0</b> | <b>5.4</b>   | <b>54.5</b>    | <b>90.3</b>    | <b>116.8</b>   | <b>325.5</b>   | <b>567.6</b>     | <b>843.1</b>     | <b>1,145.2</b>   | <b>1,472.2</b>   |
| <b>Total liabilities and stockholders' equity</b>                      | <b>756.9</b> | <b>979.1</b> | <b>1,010.1</b> | <b>1,068.5</b> | <b>1,141.7</b> | <b>1,439.5</b> | <b>1,785.7</b>   | <b>2,152.3</b>   | <b>2,536.4</b>   | <b>2,932.8</b>   |

Source: Company data and UBS estimates

**Figure 64: Extreme Historical and Forecasted Statement of Cash Flows**

May not add due to rounding  
FY Ends: June  
(in US\$ millions, except units & per share amounts)

|                                                                         | FY2019A       | FY2020A        | FY2021A       | FY2022A       | FY2023A        | FY2024E       | FY2025E       | FY2026E        | FY2027E        | FY2028E        |
|-------------------------------------------------------------------------|---------------|----------------|---------------|---------------|----------------|---------------|---------------|----------------|----------------|----------------|
| <b>Cash flows from operating activities:</b>                            |               |                |               |               |                |               |               |                |                |                |
| Net Income                                                              | (25.9)        | (126.8)        | 1.9           | 44.3          | 78.1           | 144.0         | 176.1         | 208.9          | 234.9          | 259.8          |
| <u>Adjustments to reconcile net income (loss):</u>                      |               |                |               |               |                |               |               |                |                |                |
| pr Depreciation                                                         | 26.9          | 28.6           | 23.0          | 20.2          | 19.9           | 19.2          | 17.9          | 17.6           | 17.9           | 18.5           |
| pr Amortization of intangible assets                                    | 26.0          | 35.2           | 32.4          | 19.9          | 15.0           | 15.7          | 0.4           | -              | -              | -              |
| pr Reduction in carrying amount of right-of-use asset                   | -             | 16.4           | 16.1          | 14.9          | 12.2           | (0.3)         | (0.3)         | (0.3)          | (0.2)          | (0.2)          |
| pr Provision for doubtful accounts                                      | 1.4           | 1.3            | 0.4           | 0.0           | 0.5            | -             | -             | -              | -              | -              |
| pr Share-based compensation                                             | 32.9          | 37.8           | 39.1          | 43.4          | 63.5           | 67.6          | 67.6          | 67.6           | 67.6           | 67.6           |
| pr Deferred income taxes                                                | (5.8)         | 1.8            | 1.8           | 0.7           | 0.4            | -             | -             | -              | -              | -              |
| pr Unrealized/realized gain on equity investment                        | 0.5           | -              | -             | -             | -              | -             | -             | -              | -              | -              |
| pr Non-cash interest expense                                            | 3.0           | 4.2            | 5.1           | 4.4           | 1.1            | -             | -             | -              | -              | -              |
| pr Other                                                                | 0.1           | (0.3)          | 4.0           | 0.4           | (8.1)          | -             | -             | -              | -              | -              |
| <u>Changes in operating assets and liabilities, net of acquisition:</u> |               |                |               |               |                |               |               |                |                |                |
| pr Accounts receivable                                                  | 36.3          | 62.2           | (34.2)        | (26.2)        | 1.6            | (20.4)        | (19.3)        | (17.3)         | (15.6)         | (13.5)         |
| pr Inventories                                                          | 0.3           | 20.0           | 22.7          | (16.7)        | (41.8)         | 6.3           | (4.2)         | (3.5)          | (4.3)          | (3.8)          |
| pr Prepaid expenses and other assets                                    | (7.0)         | 0.8            | (19.0)        | (4.5)         | (1.4)          | (16.1)        | (15.2)        | (13.7)         | (12.3)         | (10.6)         |
| pr Accounts payable                                                     | (9.9)         | (26.1)         | 10.8          | 23.8          | 14.7           | 4.3           | 7.9           | 6.8            | 7.2            | 6.2            |
| pr Accrued compensation and benefits                                    | 1.3           | (8.1)          | 20.1          | (20.7)        | 17.1           | 8.0           | 7.6           | 6.8            | 6.1            | 5.3            |
| q/k Accrued warranty                                                    | -             | -              | -             | -             | -              | -             | -             | -              | -              | -              |
| pr Operating lease liabilities                                          | -             | (17.3)         | (20.0)        | (18.9)        | (15.2)         | 1.2           | 1.1           | 1.0            | 0.9            | 0.8            |
| pr Deferred revenue                                                     | 28.7          | 19.5           | 54.4          | 44.6          | 90.1           | 71.4          | 90.2          | 80.0           | 71.7           | 59.8           |
| pr Other current and long-term liabilities                              | (4.0)         | (20.8)         | (14.0)        | (1.5)         | 1.4            | 9.8           | 9.3           | 8.4            | 7.5            | 6.5            |
| q/k Deferred distributor revenue, net of cost of sales to distributors  | -             | -              | -             | -             | -              | -             | -             | -              | -              | -              |
| q/k Other accrued liabilities                                           | -             | -              | -             | -             | -              | -             | -             | -              | -              | -              |
| <b>Net cash provided by operating activities</b>                        | <b>104.9</b>  | <b>35.9</b>    | <b>144.5</b>  | <b>128.2</b>  | <b>249.2</b>   | <b>310.8</b>  | <b>339.2</b>  | <b>362.3</b>   | <b>381.5</b>   | <b>396.4</b>   |
| <b>Cash flows from investing activities:</b>                            |               |                |               |               |                |               |               |                |                |                |
| pr Capital expenditures                                                 | (22.7)        | (15.3)         | (17.2)        | (15.4)        | (13.8)         | (15.1)        | (16.5)        | (17.9)         | (19.1)         | (20.1)         |
| pr Business acquisition, net of cash acquired                           | -             | (219.5)        | -             | (69.5)        | -              | -             | -             | -              | -              | -              |
| pr Maturities and sales of investments                                  | 0.9           | 45.2           | -             | -             | -              | -             | -             | -              | -              | -              |
| <b>Net cash used in investing activities</b>                            | <b>(21.8)</b> | <b>(189.5)</b> | <b>(17.2)</b> | <b>(85.0)</b> | <b>(13.8)</b>  | <b>(15.1)</b> | <b>(16.5)</b> | <b>(17.9)</b>  | <b>(19.1)</b>  | <b>(20.1)</b>  |
| <b>Cash flows from financing activities:</b>                            |               |                |               |               |                |               |               |                |                |                |
| pr/a Borrowings under Revolving Facility                                | -             | 55.0           | -             | -             | 25.0           | -             | -             | -              | -              | -              |
| pr/a Borrowings under Term Loan                                         | -             | 199.5          | -             | -             | -              | -             | -             | -              | -              | -              |
| pr Payments on debt obligations                                         | (19.9)        | (34.5)         | (74.0)        | (38.1)        | (108.6)        | -             | -             | -              | -              | -              |
| pr/a Loan fees on borrowings                                            | (0.5)         | (12.0)         | -             | -             | (3.2)          | -             | -             | -              | -              | -              |
| pr Repurchase of common stock                                           | (15.0)        | (30.0)         | -             | (45.0)        | (99.9)         | -             | -             | -              | -              | -              |
| pr Payments for tax withholdings, net of proceeds from iss              | 11.5          | 8.8            | 4.5           | (6.5)         | (5.1)          | -             | -             | -              | -              | -              |
| pr Payment of contingent consideration obligations                      | (6.5)         | (4.3)          | (1.3)         | (1.0)         | -              | -             | -             | -              | -              | -              |
| pr Deferred payments on acquisition                                     | (4.0)         | (4.0)          | (4.0)         | (4.0)         | (3.0)          | -             | -             | -              | -              | -              |
| pr Deposit received from sale of buildings                              | -             | -              | -             | -             | -              | -             | -             | -              | -              | -              |
| <b>Net cash used in financing activities</b>                            | <b>(34.4)</b> | <b>178.5</b>   | <b>(74.8)</b> | <b>(94.7)</b> | <b>(194.8)</b> | <b>-</b>      | <b>-</b>      | <b>-</b>       | <b>-</b>       | <b>-</b>       |
| Foreign currency effect on cash                                         | (0.2)         | (0.6)          | 0.4           | (0.9)         | (0.3)          | -             | -             | -              | -              | -              |
| Net increase (decrease) in cash                                         | 48.5          | 24.3           | 53.0          | (52.4)        | 40.3           | 295.7         | 322.7         | 344.4          | 362.5          | 376.3          |
| Cash at beginning of period                                             | 121.1         | 169.6          | 193.9         | 246.9         | 194.5          | 234.8         | 530.5         | 853.2          | 1,197.6        | 1,560.1        |
| <b>Cash at end of period</b>                                            | <b>169.6</b>  | <b>193.9</b>   | <b>246.9</b>  | <b>194.5</b>  | <b>234.8</b>   | <b>530.5</b>  | <b>853.2</b>  | <b>1,197.6</b> | <b>1,560.1</b> | <b>1,936.4</b> |

Source: Company data and UBS estimates



## UPSIDE/DOWNSIDE SPECTRUM



| Value drivers (FY25E) | Revenue growth | Gross Margin % | Operating Income growth | Operating Margin % | Diluted EPS |
|-----------------------|----------------|----------------|-------------------------|--------------------|-------------|
| \$36upside            | 15.0%          | 62.8%          | 31.8%                   | 20.0%              | \$2.09      |
| \$30base              | 9.3%           | 62.0%          | 15.0%                   | 18.4%              | \$1.82      |
| \$18downside          | -1.6%          | 60.1%          | -10.5%                  | 15.9%              | \$1.41      |

Source: UBS

### Risk to the current share price is skewed to the upside (2 to 1)

EXTR is trading at US\$24.24 (as of 20 Sept), or roughly ~13x our FY25 EPS estimate of \$1.82

**UPSIDE (US \$36):** Our upside case assumes Extreme takes share in Campus and SD-WAN driving 15% revenue growth in FY25, over 500 bps above our forecast. Gross margins come in 62.8% given leverage from stronger growth and almost 400 bps above FY23 gross margins of 59%, capturing ⅔ of the 6 pt long-term target. Further cost optimization reduces OpEx as a % of revenue to 42.8%, 120 bps below the low-end of the target model lifting Operating margins to ~20% from 15.2% in FY23. Stronger growth and operating leverage drives FY25 EPS to \$2.09 vs our \$1.82 forecast and Consensus \$1.99. Extreme shares trade at a 10% discount to the S&P 500, one standard deviation above the mean or \$36/share or roughly 49% upside

**BASE (US \$30):** Our base case assumes FY25 revenue grows ~9% following 14.4% growth in FY24 as Extreme takes modest share in key verticals owing to its Universal Product/Strategy Platform that simplifies customer solutions. Gross margins expand 300 bps over two years (FY23 ~59%) capturing modest mix benefits and easing supply chain cost headwinds. Through cost discipline, Extreme maintains OpEx as % of revenue at 43.6%, flattish with FY22 at 43.7% driving Operating margins to 18.4%, up 320 bps relative to FY23. FY25 EPS comes in at \$1.82 (Consensus \$1.99) and Extreme shares trade at 16x, 1 turn above the trailing three year average of ~15x given stronger growth and higher margins relative to history. On a relative basis, Extreme shares would trade at a 15% discount to the S&P 500 compared to a 27% discount over the trailing three years owing to better growth.

**DOWNSIDE (US \$18):** In our downside case, segments of the Networking market decline following several years of early orders reflected in Extreme's backlog above trend revenue growth in FY22, FY23, and FY24. Large peers price aggressively after years of double digit price increases during the Covid/supply chain disruptions to win back share. As such, Extreme revenue declines in FY25 low single digits pressuring gross margins as price is used as a tool. Operating margins are stable ~15.9% (FY23 15.2%), resulting in FY25 EPS of \$1.41, up from the \$1.09 in FY23 but below UBS's \$1.82 (Consensus \$1.99). Shares re-rate lower to 13x, below the trailing three year average as industry and Extreme growth normalizes back to pre-Covid levels. In our downside scenario, Extreme shares trade at ~\$18 or roughly 26% downside.

Figure 65: Extreme Upside / Downside Scenarios

| <b>FY Ends: June</b><br><b>(in US\$ millions, except units &amp; per share amounts)</b> | <b>FY2024E</b> | <b>DOWNSIDE<br/>FY2025E</b> | <b>BASE CASE<br/>FY2025E</b> | <b>UPSIDE<br/>FY2025E</b> |
|-----------------------------------------------------------------------------------------|----------------|-----------------------------|------------------------------|---------------------------|
| <b>Net revenues:</b>                                                                    |                |                             |                              |                           |
| Product                                                                                 | 1,071.8        | 1,039.6                     | 1,152.2                      | 1,211.1                   |
| Service and subscription                                                                | 429.1          | 437.6                       | 488.9                        | 514.9                     |
| <b>Total net revenue</b>                                                                | <b>1,500.8</b> | <b>1,477.3</b>              | <b>1,641.1</b>               | <b>1,726.0</b>            |
| Yr-to-Yr percent growth                                                                 | 14.4%          | -1.6%                       | 9.3%                         | 15.0%                     |
| Non-GAAP product gross profit                                                           | 629.1          | 597.8                       | 684.9                        | 720.6                     |
| Non-GAAP product gross margin %                                                         | 58.7%          | 57.5%                       | 59.4%                        | 59.5%                     |
| Non-GAAP service and subscription gross profit                                          | 288.1          | 289.9                       | 331.8                        | 363.0                     |
| Non-GAAP service and subscription gross margin %                                        | 67.1%          | 66.3%                       | 67.9%                        | 70.5%                     |
| <b>Total Non-GAAP gross profit</b>                                                      | <b>917.2</b>   | <b>887.7</b>                | <b>1,016.7</b>               | <b>1,083.6</b>            |
| Non-GAAP Gross margin %                                                                 | 61.1%          | 60.1%                       | 62.0%                        | 62.8%                     |
| Non-GAAP R&D                                                                            | 232.8          | 232.7                       | 254.4                        | 258.9                     |
| Non-GAAP R&D % of revenue                                                               | 15.5%          | 15.8%                       | 15.5%                        | 15.0%                     |
| Non-GAAP S&M                                                                            | 362.0          | 358.2                       | 394.9                        | 409.9                     |
| Non-GAAP S&M % of revenue                                                               | 24.1%          | 24.3%                       | 24.1%                        | 23.8%                     |
| Non-GAAP G&A                                                                            | 60.0           | 62.0                        | 65.6                         | 69.0                      |
| Non-GAAP G&A % of revenue                                                               | 4.0%           | 4.2%                        | 4.0%                         | 4.0%                      |
| Non-GAAP OpEx                                                                           | 654.8          | 653.0                       | 714.9                        | 737.9                     |
| Non-GAAP opex % of revenue                                                              | 43.6%          | 44.2%                       | 43.6%                        | 42.8%                     |
| <b>Non-GAAP Operating income</b>                                                        | <b>262.3</b>   | <b>234.8</b>                | <b>301.8</b>                 | <b>345.7</b>              |
| Non-GAAP Operating margin                                                               | 17.5%          | 15.9%                       | 18.4%                        | 20.0%                     |
| Interest income                                                                         | 12.6           | 21.6                        | 24.3                         | 26.0                      |
| Interest expense                                                                        | (15.5)         | (15.5)                      | (15.5)                       | (15.5)                    |
| Other income (expense), net                                                             | 0.0            | 0.0                         | 0.0                          | 0.0                       |
| <b>Pre-tax income continuing ops (Non-GAAP)</b>                                         | <b>259.4</b>   | <b>240.8</b>                | <b>310.5</b>                 | <b>356.2</b>              |
| Non-GAAP income taxes (benefit)                                                         | 57.1           | 53.0                        | 68.3                         | 78.4                      |
| Income tax rate                                                                         | 22.0%          | 22.0%                       | 22.0%                        | 22.0%                     |
| <b>Non-GAAP Net Income</b>                                                              | <b>202.4</b>   | <b>187.8</b>                | <b>242.2</b>                 | <b>277.9</b>              |
| <b>Diluted EPS</b>                                                                      | <b>\$1.52</b>  | <b>\$1.41</b>               | <b>\$1.82</b>                | <b>\$2.09</b>             |
| Yr-to-Yr percent growth                                                                 | 39%            | -7%                         | 20%                          | 37%                       |
| Non-GAAP shares used                                                                    | 132.9          | 132.9                       | 132.9                        | 132.9                     |

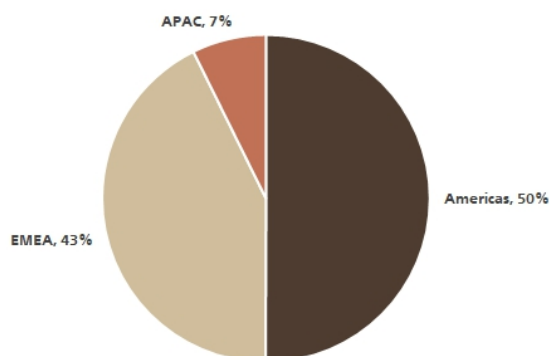
Source: UBS estimates



## COMPANY DESCRIPTION

Extreme is a leading provider of end-to-end, cloud-driven networking solutions, as well as services and support to enterprise, data center, and service provider customers. The company designs, develops, and manufactures wired and wireless network infrastructure equipment, as well as software for network policy, analytics, security, and access controls. The company's revenue is derived from the sales of its networking equipment, software subscriptions, and related maintenance contracts. Extreme operates globally and is headquartered in Morrisville, NC.

Revenues by region (%)



Source: Company reports, UBS research estimates

## Extreme Networks Inc (EXTR.O)

|                                             | 06/21        | 06/22        | 06/23        | 06/24E       | %ch          | 06/25E       | %ch         | 06/26E       | 06/27E       | 06/28E       |
|---------------------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|-------------|--------------|--------------|--------------|
| <b>Income Statement (US\$m)</b>             |              |              |              |              |              |              |             |              |              |              |
| <b>Revenues</b>                             | <b>1,009</b> | <b>1,112</b> | <b>1,312</b> | <b>1,501</b> | <b>14.4</b>  | <b>1,641</b> | <b>9.3</b>  | <b>1,771</b> | <b>1,886</b> | <b>1,986</b> |
| Gross profit                                | 614          | 649          | 773          | 917          | 18.7         | 1,017        | 10.9        | 1,111        | 1,187        | 1,255        |
| <b>EBITDA (UBS)</b>                         | <b>166</b>   | <b>176</b>   | <b>234</b>   | <b>297</b>   | <b>27.1</b>  | <b>320</b>   | <b>7.7</b>  | <b>358</b>   | <b>385</b>   | <b>409</b>   |
| Depreciation & amortisation                 | (55)         | (40)         | (35)         | (35)         | 0.0          | (18)         | 47.7        | (18)         | (18)         | (18)         |
| <b>EBIT (UBS)</b>                           | <b>110</b>   | <b>136</b>   | <b>199</b>   | <b>262</b>   | <b>31.9</b>  | <b>302</b>   | <b>15.0</b> | <b>340</b>   | <b>367</b>   | <b>390</b>   |
| Associates & investment income              | 0            | 0            | 0            | 0            | -            | 0            | -           | 0            | 0            | 0            |
| Other non-operating income                  | 0            | 0            | 0            | 0            | -            | 0            | -           | 0            | 0            | 0            |
| Net interest                                | (24)         | (12)         | (14)         | (3)          | 79.6         | 9            | -           | 21           | 35           | 49           |
| Exceptionals (incl goodwill)                | 0            | 0            | 2            | 0            | -            | 0            | -           | 0            | 0            | 0            |
| <b>Pre-tax profit</b>                       | <b>86</b>    | <b>124</b>   | <b>186</b>   | <b>259</b>   | <b>39.3</b>  | <b>311</b>   | <b>19.7</b> | <b>361</b>   | <b>402</b>   | <b>439</b>   |
| Tax                                         | (14)         | (21)         | (40)         | (57)         | -42.8        | (68)         | -19.7       | (80)         | (88)         | (97)         |
| <b>Profit after tax</b>                     | <b>72</b>    | <b>103</b>   | <b>146</b>   | <b>202</b>   | <b>38.3</b>  | <b>242</b>   | <b>19.7</b> | <b>282</b>   | <b>313</b>   | <b>343</b>   |
| Preference dividends                        | 0            | 0            | 0            | 0            | -            | 0            | -           | 0            | 0            | 0            |
| Minorities                                  | 0            | 0            | 0            | 0            | -            | 0            | -           | 0            | 0            | 0            |
| Extraordinary items                         | (70)         | (59)         | (68)         | (61)         | 10.3         | (68)         | -10.8       | (74)         | (79)         | (83)         |
| <b>Net earnings (local GAAP)</b>            | <b>2</b>     | <b>44</b>    | <b>78</b>    | <b>141</b>   | <b>80.8</b>  | <b>174</b>   | <b>23.6</b> | <b>208</b>   | <b>234</b>   | <b>259</b>   |
| <b>Net earnings (UBS)</b>                   | <b>72</b>    | <b>103</b>   | <b>146</b>   | <b>202</b>   | <b>38.3</b>  | <b>242</b>   | <b>19.7</b> | <b>282</b>   | <b>313</b>   | <b>343</b>   |
| Tax rate (%)                                | 16.1         | 16.7         | 21.5         | 22.0         | 2.5          | 22.0         | 0.0         | 22.0         | 22.0         | 22.0         |
| <b>Per Share (US\$)</b>                     |              |              |              |              |              |              |             |              |              |              |
| EPS (UBS, diluted)                          | 0.57         | 0.77         | 1.09         | 1.52         | 39.1         | 1.82         | 19.7        | 2.12         | 2.36         | 2.58         |
| EPS (local GAAP, diluted)                   | 0.02         | 0.33         | 0.58         | 1.06         | 81.8         | 1.31         | 23.6        | 1.56         | 1.76         | 1.95         |
| EPS (UBS, basic)                            | 0.58         | 0.80         | 1.13         | 1.58         | 39.6         | 1.89         | 19.7        | 2.20         | 2.44         | 2.67         |
| DPS (net) (US\$)                            | 0.00         | 0.00         | 0.00         | 0.00         | -            | 0.00         | -           | 0.00         | 0.00         | 0.00         |
| Cash EPS (UBS, diluted) <sup>1</sup>        | 1.00         | 1.08         | 1.36         | 1.79         | 31.7         | 1.96         | 9.8         | 2.25         | 2.49         | 2.72         |
| Book value per share                        | 0.43         | 0.70         | 0.90         | 2.54         | 180.5        | 4.42         | 74.4        | 6.57         | 8.93         | 11.48        |
| Average shares (diluted)                    | 128          | 133          | 134          | 133          | -0.6         | 133          | 0.0         | 133          | 133          | 133          |
| <b>Balance Sheet (US\$m)</b>                |              |              |              |              |              |              |             |              |              |              |
| Cash and equivalents                        | 247          | 195          | 235          | 520          | 121.5        | 827          | 58.9        | 1,156        | 1,505        | 1,870        |
| Other current assets                        | 241          | 295          | 341          | 362          | 6.1          | 392          | 8.4         | 419          | 445          | 467          |
| <b>Total current assets</b>                 | <b>488</b>   | <b>489</b>   | <b>576</b>   | <b>882</b>   | <b>53.1</b>  | <b>1,219</b> | <b>38.2</b> | <b>1,576</b> | <b>1,950</b> | <b>2,337</b> |
| Net tangible fixed assets                   | 55           | 50           | 46           | 42           | -9.0         | 41           | -3.4        | 41           | 42           | 44           |
| Net intangible fixed assets                 | 367          | 433          | 411          | 395          | -3.8         | 395          | -0.1        | 395          | 395          | 395          |
| Investments / other assets                  | 100          | 97           | 108          | 120          | 10.7         | 131          | 9.2         | 141          | 150          | 157          |
| <b>Total assets</b>                         | <b>1,010</b> | <b>1,069</b> | <b>1,142</b> | <b>1,440</b> | <b>26.1</b>  | <b>1,786</b> | <b>24.0</b> | <b>2,152</b> | <b>2,536</b> | <b>2,933</b> |
| Trade payables & other ST liabilities       | 432          | 467          | 541          | 598          | 10.5         | 665          | 11.1        | 723          | 776          | 820          |
| Short term debt                             | 24           | 33           | 34           | 34           | 0.0          | 34           | 0.0         | 34           | 34           | 34           |
| <b>Total current liabilities</b>            | <b>456</b>   | <b>500</b>   | <b>576</b>   | <b>633</b>   | <b>9.9</b>   | <b>699</b>   | <b>10.5</b> | <b>757</b>   | <b>810</b>   | <b>855</b>   |
| Long term debt                              | 316          | 271          | 188          | 188          | 0.0          | 188          | 0.0         | 188          | 188          | 188          |
| Other long term liabilities                 | 184          | 207          | 262          | 294          | 12.2         | 332          | 12.8        | 364          | 394          | 418          |
| Preferred shares                            | 0            | 0            | 0            | 0            | -            | 0            | -           | 0            | 0            | 0            |
| <b>Total liabilities (incl pref shares)</b> | <b>956</b>   | <b>978</b>   | <b>1,025</b> | <b>1,114</b> | <b>8.7</b>   | <b>1,218</b> | <b>9.3</b>  | <b>1,309</b> | <b>1,391</b> | <b>1,461</b> |
| <b>Common s/h equity</b>                    | <b>54</b>    | <b>90</b>    | <b>117</b>   | <b>326</b>   | <b>178.8</b> | <b>568</b>   | <b>74.4</b> | <b>843</b>   | <b>1,145</b> | <b>1,472</b> |
| Minority interests                          | 0            | 0            | 0            | 0            | -            | 0            | -           | 0            | 0            | 0            |
| <b>Total liabilities &amp; equity</b>       | <b>1,010</b> | <b>1,069</b> | <b>1,142</b> | <b>1,440</b> | <b>26.1</b>  | <b>1,786</b> | <b>24.0</b> | <b>2,152</b> | <b>2,536</b> | <b>2,933</b> |
| <b>Cash Flow (US\$m)</b>                    |              |              |              |              |              |              |             |              |              |              |
| Net income (before pref divs)               | 2            | 44           | 78           | 141          | 80.8         | 174          | 23.6        | 208          | 234          | 259          |
| Depreciation & amortisation                 | 55           | 40           | 35           | 35           | 0.0          | 18           | -47.7       | 18           | 18           | 18           |
| Net change in working capital               | 21           | (20)         | 67           | 36           | -45.4        | 36           | -0.7        | 31           | 28           | 23           |
| Other operating                             | 66           | 64           | 70           | 88           | 26.4         | 94           | 7.1         | 91           | 88           | 84           |
| <b>Operating cash flow</b>                  | <b>145</b>   | <b>128</b>   | <b>249</b>   | <b>300</b>   | <b>20.5</b>  | <b>323</b>   | <b>7.5</b>  | <b>347</b>   | <b>368</b>   | <b>385</b>   |
| Tangible capital expenditure                | (17)         | (15)         | (14)         | (15)         | -8.8         | (16)         | -9.3        | (18)         | (19)         | (20)         |
| Intangible capital expenditure              | 0            | 0            | 0            | 0            | -            | 0            | -           | 0            | 0            | 0            |
| Net (acquisitions) & disposals              | 0            | (70)         | 0            | 0            | -            | 0            | -           | 0            | 0            | 0            |
| Other investing                             | 0            | 0            | 0            | 0            | -            | 0            | -           | 0            | 0            | 0            |
| <b>Investing cash flow</b>                  | <b>(17)</b>  | <b>(85)</b>  | <b>(14)</b>  | <b>(15)</b>  | <b>-8.8</b>  | <b>(16)</b>  | <b>-9.3</b> | <b>(18)</b>  | <b>(19)</b>  | <b>(20)</b>  |
| Equity dividends paid                       | 0            | 0            | 0            | 0            | -            | 0            | -           | 0            | 0            | 0            |
| Share issues / (buybacks)                   | 5            | (52)         | (105)        | 0            | -            | 0            | -           | 0            | 0            | 0            |
| Other financing                             | (5)          | (5)          | 19           | 0            | -            | 0            | -           | 0            | 0            | 0            |
| Change in debt & pref shares                | (74)         | (38)         | (109)        | 0            | -            | 0            | -           | 0            | 0            | 0            |
| <b>Financing cash flow</b>                  | <b>(75)</b>  | <b>(95)</b>  | <b>(195)</b> | <b>0</b>     | <b>-</b>     | <b>0</b>     | <b>-</b>    | <b>0</b>     | <b>0</b>     | <b>0</b>     |
| <b>Cash flow inc/(dec) in cash</b>          | <b>53</b>    | <b>(51)</b>  | <b>41</b>    | <b>285</b>   | <b>NM</b>    | <b>307</b>   | <b>7.4</b>  | <b>330</b>   | <b>349</b>   | <b>365</b>   |
| FX / non cash items                         | 0            | (1)          | 0            | 0            | -            | 0            | -           | 0            | 0            | 0            |
| <b>Balance sheet inc/(dec) in cash</b>      | <b>53</b>    | <b>(52)</b>  | <b>40</b>    | <b>285</b>   | <b>NM</b>    | <b>307</b>   | <b>7.4</b>  | <b>330</b>   | <b>349</b>   | <b>365</b>   |

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.<sup>1</sup> Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

## Extreme Networks Inc (EXTR.O)

| Valuation (x)                               | 06/21        | 06/22        | 06/23        | 06/24E        | 06/25E        | 06/26E        | 06/27E        | 06/28E        |
|---------------------------------------------|--------------|--------------|--------------|---------------|---------------|---------------|---------------|---------------|
| P/E (local GAAP, diluted)                   | NM           | 34.2         | 29.2         | 22.8          | 18.5          | 15.5          | 13.7          | 12.4          |
| P/E (UBS, diluted)                          | 12.8         | 14.6         | 15.6         | 15.9          | 13.3          | 11.4          | 10.3          | 9.4           |
| P/CEPS                                      | 7.0          | 10.2         | 12.2         | 13.1          | 11.9          | 10.4          | 9.4           | 8.6           |
| Equity FCF (UBS) yield %                    | 14.2         | 7.7          | 10.6         | 9.2           | 9.9           | 10.6          | 11.2          | 11.7          |
| Dividend yield (net) %                      | 0.0          | 0.0          | 0.0          | 0.0           | 0.0           | 0.0           | 0.0           | 0.0           |
| P/BV                                        | 16.7         | 16.2         | 18.8         | 9.6           | 5.5           | 3.7           | 2.7           | 2.1           |
| EV/revenues (core)                          | 1.0          | 1.4          | 1.7          | 2.0           | 1.6           | 1.3           | 1.1           | 0.8           |
| EV/EBITDA (UBS core)                        | 6.0          | 8.9          | 9.7          | 9.9           | 8.3           | 6.5           | 5.2           | 4.0           |
| EV/EBIT (core)                              | 9.0          | 11.6         | 11.4         | 11.3          | 8.8           | 6.9           | 5.5           | 4.2           |
| EV/OpFCF (core)                             | 6.7          | 9.8          | 10.3         | 10.5          | 8.8           | 6.9           | 5.5           | 4.2           |
| EV/op. invested capital                     | 5.3          | 9.1          | 14.9         | 45.1          | NM            | NM            | NM            | NM            |
| <b>Enterprise value (US\$m)</b>             | <b>06/21</b> | <b>06/22</b> | <b>06/23</b> | <b>06/24E</b> | <b>06/25E</b> | <b>06/26E</b> | <b>06/27E</b> | <b>06/28E</b> |
| Market cap.                                 | 894          | 1,467        | 2,213        | 3,110         | 3,110         | 3,110         | 3,110         | 3,110         |
| Net debt (cash)                             | 93           | 109          | 48           | (156)         | (452)         | (770)         | (1,109)       | (1,466)       |
| Buy out of minorities                       | 0            | 0            | 0            | 0             | 0             | 0             | 0             | 0             |
| Pension provisions/other                    | 0            | 0            | 0            | 0             | 0             | 0             | 0             | 0             |
| <b>Total enterprise value</b>               | <b>987</b>   | <b>1,577</b> | <b>2,261</b> | <b>2,954</b>  | <b>2,658</b>  | <b>2,340</b>  | <b>2,001</b>  | <b>1,644</b>  |
| Non core assets                             | 0            | 0            | 0            | 0             | 0             | 0             | 0             | 0             |
| <b>Core enterprise value</b>                | <b>987</b>   | <b>1,577</b> | <b>2,261</b> | <b>2,954</b>  | <b>2,658</b>  | <b>2,340</b>  | <b>2,001</b>  | <b>1,644</b>  |
| <b>Growth (%)</b>                           | <b>06/21</b> | <b>06/22</b> | <b>06/23</b> | <b>06/24E</b> | <b>06/25E</b> | <b>06/26E</b> | <b>06/27E</b> | <b>06/28E</b> |
| Revenue                                     | 6.5          | 10.2         | 18.0         | 14.4          | 9.3           | 7.9           | 6.5           | 5.3           |
| EBITDA (UBS)                                | 58.7         | 6.5          | 32.6         | 27.1          | 7.7           | 11.8          | 7.6           | 6.2           |
| EBIT (UBS)                                  | 171.9        | 23.5         | 46.1         | 31.9          | 15.0          | 12.7          | 7.9           | 6.4           |
| EPS (UBS, diluted)                          | NM           | 37.0         | 41.3         | 39.1          | 19.7          | 16.4          | 11.1          | 9.3           |
| Net DPS                                     | -            | -            | -            | -             | -             | -             | -             | -             |
| <b>Margins &amp; Profitability (%)</b>      | <b>06/21</b> | <b>06/22</b> | <b>06/23</b> | <b>06/24E</b> | <b>06/25E</b> | <b>06/26E</b> | <b>06/27E</b> | <b>06/28E</b> |
| Gross profit margin                         | 60.8         | 58.4         | 58.9         | 61.1          | 62.0          | 62.7          | 63.0          | 63.2          |
| EBITDA margin                               | 16.4         | 15.9         | 17.8         | 19.8          | 19.5          | 20.2          | 20.4          | 20.6          |
| EBIT (UBS) margin                           | 10.9         | 12.2         | 15.2         | 17.5          | 18.4          | 19.2          | 19.5          | 19.7          |
| Net earnings (UBS) margin                   | 7.2          | 9.3          | 11.1         | 13.5          | 14.8          | 15.9          | 16.6          | 17.2          |
| ROIC (EBIT)                                 | 59.6         | NM           | NM           | NM            | NM            | NM            | NM            | NM            |
| ROIC post tax                               | 50.0         | 65.4         | NM           | NM            | NM            | NM            | NM            | NM            |
| ROE (UBS)                                   | 241.3        | 142.9        | 141.3        | 91.5          | 54.2          | 40.0          | 31.5          | 26.2          |
| <b>Capital structure &amp; Coverage (x)</b> | <b>06/21</b> | <b>06/22</b> | <b>06/23</b> | <b>06/24E</b> | <b>06/25E</b> | <b>06/26E</b> | <b>06/27E</b> | <b>06/28E</b> |
| Net debt / EBITDA                           | 0.6          | 0.6          | (0.1)        | (1.0)         | (1.9)         | (2.6)         | (3.3)         | (4.0)         |
| Net debt / total equity %                   | 170.2        | 121.1        | (11.1)       | (91.6)        | (106.6)       | (110.8)       | (112.1)       | (112.0)       |
| Net debt / (net debt + total equity) %      | 63.0         | 54.8         | (12.4)       | NM            | NM            | NM            | NM            | NM            |
| Net debt/EV %                               | 15.7         | 6.4          | 2.1          | (5.3)         | (17.0)        | (32.9)        | (55.4)        | (89.1)        |
| Capex / depreciation %                      | 74.8         | 76.3         | 69.4         | 78.2          | 91.9          | 101.1         | 106.2         | 108.5         |
| Capex / revenue %                           | 1.7          | 1.4          | 1.1          | 1.0           | 1.0           | 1.0           | 1.0           | 1.0           |
| EBIT / net interest                         | 4.6          | 11.4         | 14.0         | NM            | -             | -             | -             | -             |
| Dividend cover (UBS)                        | -            | -            | -            | -             | -             | -             | -             | -             |
| Div. payout ratio (UBS) %                   | -            | -            | -            | -             | -             | -             | -             | -             |
| <b>Revenues by division (US\$m)</b>         | <b>06/21</b> | <b>06/22</b> | <b>06/23</b> | <b>06/24E</b> | <b>06/25E</b> | <b>06/26E</b> | <b>06/27E</b> | <b>06/28E</b> |
| Others                                      | 1,009        | 1,112        | 1,312        | 1,501         | 1,641         | 1,771         | 1,886         | 1,986         |
| <b>Total</b>                                | <b>1,009</b> | <b>1,112</b> | <b>1,312</b> | <b>1,501</b>  | <b>1,641</b>  | <b>1,771</b>  | <b>1,886</b>  | <b>1,986</b>  |
| <b>EBIT (UBS) by division (US\$m)</b>       | <b>06/21</b> | <b>06/22</b> | <b>06/23</b> | <b>06/24E</b> | <b>06/25E</b> | <b>06/26E</b> | <b>06/27E</b> | <b>06/28E</b> |
| Others                                      | 110          | 136          | 199          | 262           | 302           | 340           | 367           | 390           |
| <b>Total</b>                                | <b>110</b>   | <b>136</b>   | <b>199</b>   | <b>262</b>    | <b>302</b>    | <b>340</b>    | <b>367</b>    | <b>390</b>    |

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

**Forecast returns**

|                             |        |
|-----------------------------|--------|
| Forecast price appreciation | +23.8% |
| Forecast dividend yield     | 0.0%   |
| Forecast stock return       | +23.8% |
| Market return assumption    | 10.2%  |
| Forecast excess return      | +13.6% |

**Company Description**

Extreme is a leading provider of end-to-end, cloud-driven networking solutions, as well as services and support to enterprise, data center, and service provider customers. The company designs, develops, and manufactures wired and wireless network infrastructure equipment, as well as software for network policy, analytics, security, and access controls. The company's revenue is derived from the sales of its networking equipment, software subscriptions, and related maintenance contracts. Extreme operates globally and is headquartered in Morrisville, NC.

**Valuation Method and Risk Statement**

Risks to Extreme include: (1) macro weakness affecting IT spending levels; (2) product delays and failure to accurately navigate technology transformations; (3) increasing competition pressuring pricing and margins; (4) integration risks given its history of frequent acquisitions; and (5) a slowdown in technology and network upgrade cycle. Our price target is based on P/E multiple relative to Extreme's peer group.

## Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on [qa@ubs.com](mailto:qa@ubs.com). A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

### Extreme Networks Inc

| Question                                                                                                                                                                                                                                             | Response    |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
| 1. Is the industry structure facing the firm likely to improve or deteriorate over the next year? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)                                                       | 3           |
| 2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next year? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)                                       | 3           |
| 3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)                         | 2           |
| 4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)                | 3           |
| 5. What's driving the difference?                                                                                                                                                                                                                    |             |
| 6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view) | 3           |
| 7. What's driving the difference?                                                                                                                                                                                                                    |             |
| 8. Is there an upcoming catalyst for the company over the next three months?                                                                                                                                                                         | No Catalyst |
| 9. Is there an actual or approximate date for the catalyst?                                                                                                                                                                                          |             |
| 10. Is the catalyst date an actual or approximate date?                                                                                                                                                                                              | N/A         |
| 11. What is the catalyst?                                                                                                                                                                                                                            |             |

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### UBS Global Research: Global Equity Rating Definitions

| 12-Month Rating   | Definition                                                                                                                      | Coverage <sup>1</sup> | IB Services <sup>2</sup> |
|-------------------|---------------------------------------------------------------------------------------------------------------------------------|-----------------------|--------------------------|
| <b>Buy</b>        | FSR is > 6% above the MRA.                                                                                                      | 54%                   | 41%                      |
| <b>Neutral</b>    | FSR is between -6% and 6% of the MRA.                                                                                           | 37%                   | 43%                      |
| <b>Sell</b>       | FSR is > 6% below the MRA.                                                                                                      | 9%                    | 36%                      |
| Short-Term Rating | Definition                                                                                                                      | Coverage <sup>3</sup> | IB Services <sup>4</sup> |
| <b>Buy</b>        | Stock price expected to rise within three months from the time the rating was assigned because of a specific catalyst or event. | <1%                   | <1%                      |
| <b>Sell</b>       | Stock price expected to fall within three months from the time the rating was assigned because of a specific catalyst or event. | <1%                   | <1%                      |

Source: UBS. Rating allocations are as of 30 June 2023.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

3:Percentage of companies under coverage globally within the Short-Term rating category.

4:Percentage of companies within the Short-Term rating category for which investment banking (IB) services were provided within the past 12 months.



**KEY DEFINITIONS:** **Forecast Stock Return (FSR)** is defined as expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is defined as the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged as UR by the analyst, indicating that the stock's price target and/or rating are subject to possible change in the near term, usually in response to an event that may affect the investment case or valuation. **Short-Term Ratings** reflect the expected near-term (up to three months) performance of the stock and do not reflect any change in the fundamental view or investment case. **Equity Price Targets** have an investment horizon of 12 months.

**EXCEPTIONS AND SPECIAL CASES:** **UK and European Investment Fund ratings and definitions are:** **Buy:** Positive on factors such as structure, management, performance record, discount; **Neutral:** Neutral on factors such as structure, management, performance record, discount; **Sell:** Negative on factors such as structure, management, performance record, discount. **Core Banding Exceptions (CBE):** Exceptions to the standard +/-6% bands may be granted by the Investment Review Committee (IRC). Factors considered by the IRC include the stock's volatility and the credit spread of the respective company's debt. As a result, stocks deemed to be very high or low risk may be subject to higher or lower bands as they relate to the rating. When such exceptions apply, they will be identified in the Company Disclosures table in the relevant research piece.

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**UBS Securities LLC:** Andrew Spinola, Brian Luke, David Vogt.

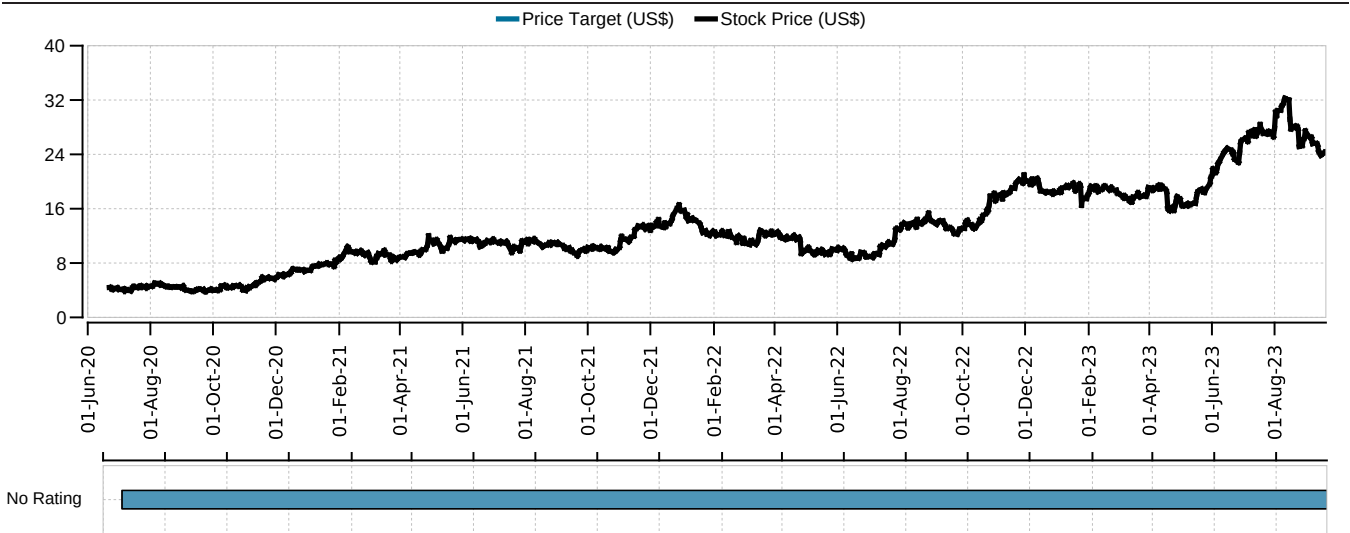
Company Disclosures

| Company Name                       | Reuters | 12-month rating | Price     | Price date  |
|------------------------------------|---------|-----------------|-----------|-------------|
| Extreme Networks Inc <sup>16</sup> | EXTR.O  | No Rating       | US\$24.24 | 20 Sep 2023 |

Source: UBS Global Research; Refinitiv. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.  
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Extreme Networks Inc (US\$)



| Date       | Stock Price (US\$) | Price Target (US\$) | Rating    |
|------------|--------------------|---------------------|-----------|
| 2020-06-19 | 4.25               | -                   | No Rating |

Source: UBS Global Research; Refinitiv as of 20-Sep-2023. All prices as of local market close. Ratings as of date shown.

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